SQUARE PHARMACEUTICALS LTD. BANGLADESH

EQUITY RESEARCH REPORT

21 September, 2025

This report has been prepared as part of our academic coursework for FIN433 (Financial Modeling) to conduct an Equity Research Report. For our equity research report we have chosen the company Square Pharmaceuticals Ltd.
We have gone through the company's fundamental analysis to analyze the companys future growth prospective and also conducted technical analysis to find its intrinsic value. We have done different valuation techniques such as Discounted Cashflow Method and Relative Valuation Method.

Thanks and Regards

Prepared By

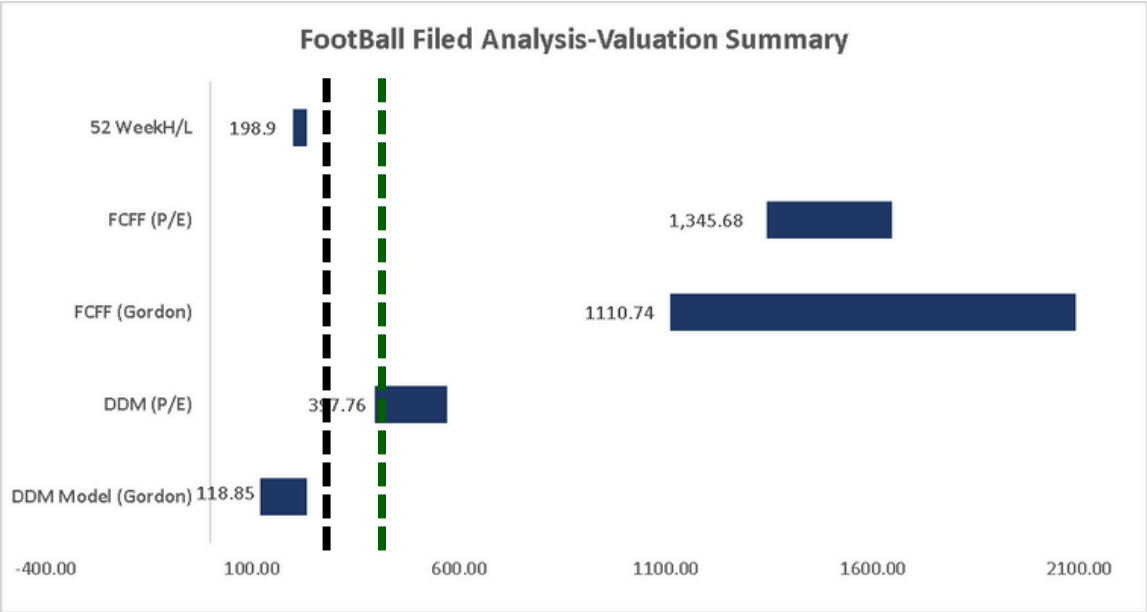
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Course: FIN433-Financial Modeling
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Analyst Rating

Football chart



Recommendation			
Rating	***Last Trading Price***	***Target Value***	***Implied Updise***
BUY	221.00 BDT	397.20 BDT	79.6%

We issue a **BUY** recommendation on Square Pharmaceuticals (SQPH) with the DCF based and Relative valuation price shows the intrinsic value of 397.20 BDT which is the 79.6% upside with a current price of 221.00 BDT (21 September, 2024). In our view, we expect a revenue growth of 12.42% along with the average EPS will be 33.12. With the strong economic and export growth we expect that this is the right time to capture the 79.6% upside of this stock.



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SQUARE
PHARMACEUTICALS LTD.
BANGLADESH

Ticker: SQPH

Date: August 15, 2025
Current Price: BDT 224
Intrinsic Value: BDT 412
Recommendation: Buy/Hold

Company Fundamentals	
Sector	**Pharmaceuticals & Chemicals**
Market Cap (BDT mn)	19936
Equity Market Weight	0.057
Paidup Capital (BDT Cr)	886
No. of Share Outstanding (in mn)	789
Free float Shares (Inst.+For.+ Public)	0.5641
1 Year Avg. Daily Turnover (BDT mn)	94.5
1 Year Avg. Daily Volume	349,067
Current P/E	7.98
Current NAV	151.94
52 week price range (BDT)	198.9-249.8 Tk

Company Profile: Square Pharmaceuticals PLC

Square Pharmaceuticals PLC is the largest and most trusted pharmaceutical company in Bangladesh, dominating the market for more than three decades. Founded in 1958 by the visionary entrepreneur Samson H. Chowdhury. Square Pharma has grown from a small local firm into a global player in the healthcare industry. Since 1985, it has consistently maintained the No. 1 position in the Bangladeshi pharmaceutical market in terms of revenue, market share, and product reach. The company became a public limited company in 1991 and was officially listed on the Dhaka and Chattogram Stock Exchanges in 1995.

Square Pharma is recognized as the first Bangladeshi company to export medicines abroad (1987). Today, it exports a wide range of pharmaceutical products, including antibiotics, cardiovascular drugs, gastro-intestinal medicines, respiratory treatments, and herbal products, to 42 countries across Asia, Africa, and Latin America. This global presence highlights its reputation for quality, affordability, and reliability. Also, from the early 2024 Squre Pharma started their production operation by establishing 20 million dollar plant.

	Square Pharma	Renata	Beximco
Gross Profit Margin	44.80%	41.40%	44.40%
P/E Ratio	8.5	19.36	9.03
Return on Assets	17.40%	4.90%	8.90%
Return on Equity	18.30%	8.40%	13.40%
Price/Book	1.5	1.44	1.13
EBITDA	20.8	6.24	10.51
EV/EBITDA	5	10.88	6.05
Beta	0.14	0.01	0.63
Book Value / Share	151.94	302.49	111.35

Product Portfolio

Square Pharmaceuticals offers a diverse and extensive product portfolio catering to human, herbal, and veterinary health needs. Its product categories include:

- **Human Pharmaceuticals**: Branded generics, life-saving medicines, and OTC (over-the-counter) products across therapeutic areas such as cardiovascular, gastrointestinal, respiratory, neurological, anti-infective, anti-diabetic, and dermatological segments.
- **Herbal & Nutraceuticals:** A growing portfolio that includes Adovas, Bioprem, Colmint, Dubarel, Enerton, and Eprim, which target natural health and wellness markets.
- **AgroVet Division**: Veterinary pharmaceuticals and agrochemicals designed for animal health and agricultural productivity.

In total the square Pharma has in total 859 products in total all categories.

Along these all the product there are some factors for the reason the square Pharma can maintain a great growth every year.

- **The rising awareness of self-care:** Primary care products provide affordable medical opportunities, not only for the healthcare system but also for consumers in order to meet their everyday healthcare needs. The systemic antibiotic market has secured 10.16% growth from July 2023 to June 2024 (11.20% growth in the previous year).



- **Increase demand of the OTC Medicine:** Antihistamines & Expectorants have grown 16.23% & 12.92% respectively over the previous year. Few Therapeutic Classes (TCs) like PPI, Calcium and Vitamins show minimum growth of 5.72%, 6.63% & 4.89% respectively. Again, from July 2023 to June 2024, Square has gained 2.17% market share in Systemic Antifungal TC with the highest growth of 16.08% among the top 5 manufacturers



- **Increase awareness of Chronical diseases world wide:** the demand for some Chronic care medicines like Antidiabetic, Lipid Lowering Agent, Antihypertensive, Antianginal are increasing day by day. The molecules with the significant growth are Empagliflozin and Linagliptin combination (82.42%), Empagliflozin and Metformin combination (22.87%), Ciprofibrate (81.41%), Telmisartan (49.59%) and Ranolazine (59.30%).

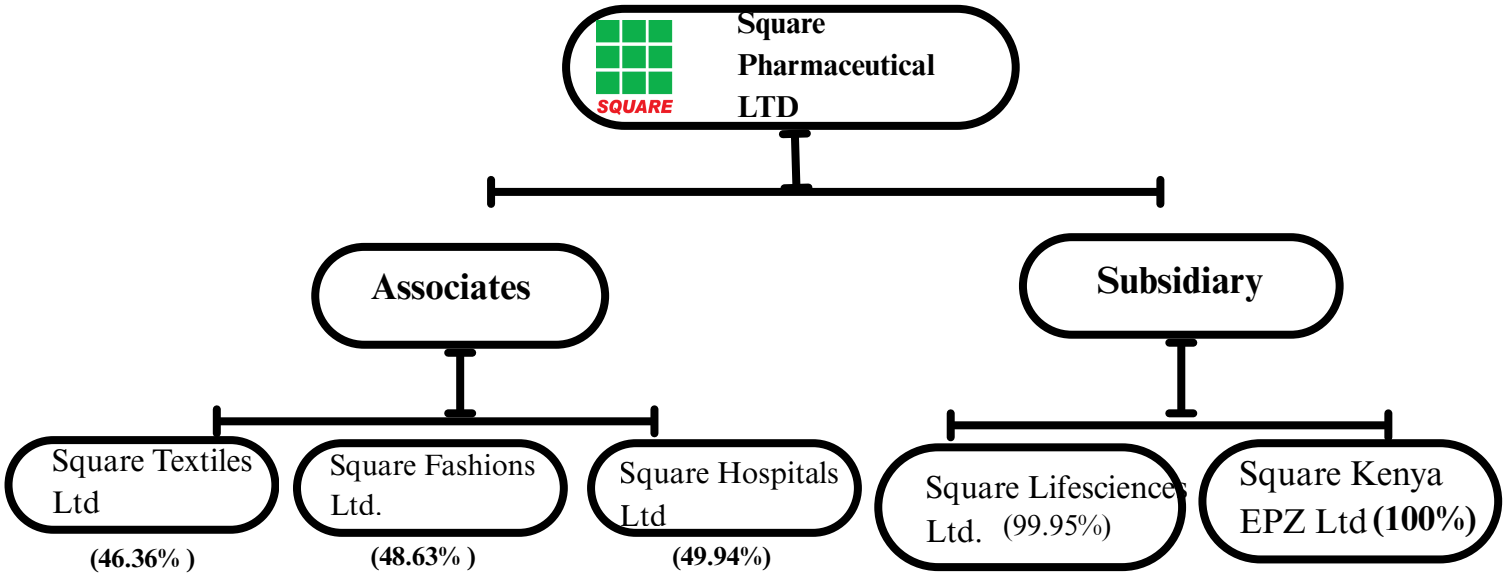


Figure 01: Square Pharmaceuticals stracture

SWOT Analysis:

Strengths:

Square Pharmaceutical's strong brand name and market leadership position allowed it to occupy the largest single share in the domestic pharmaceutical market with a market share of 17–17.6%. This gives Square the opportunity to demand for premium prices on some of its products and also have a strong bargaining power with its distributors and retailers. Square Pharmaceutical's strong profitability and cash generation for FY24 showcased its healthy financial position: by maintaining its constant EPS and using its funds towards reinvesting in projects, R&D the company aims to further strengthen its position in the healthcare sector (Square Pharmaceutical Ltd, 2024).

Weaknesses:

Square Pharmaceutical's biggest weakness remains on its heavy reliance on generics i.e. its products for combating health issues such as diabetes, cardiovascular, gastrointestinal, etc as well as antibiotics and vitamins/minerals are made of small-molecule generic formulations. These small-molecule generic formulations can also be made by other local companies once a patent expires allowing them to use similar formulations resulting in lots of competitors fighting on price eventually causing Square's profits to shrink over time. Hence if Square continues selling the same generics as Beximco, Incepta, Renata, etc., there won't be much differentiation and doctors/pharmacies may choose cheaper alternatives when needed, not necessarily Square's. Another weakness of Square remains its lack of in-house discovery R&D (like global leaders Pfizer or Roche) which limits the development of its own patented drugs. Instead, Square continues to focus on reverse-engineering/ using license molecules that do not have patents.

Opportunities:

When it comes to Square Pharmaceutical's opportunities, the company has strong opportunities for growth in the future: its plan to continue further exporting into emerging African, Asian and the Middle East markets where affordable generics are growing in demand can bring in stronger revenue and further strengthen the company's presence in the global market. Also by focusing on advanced pharmaceutical segments and specialty medicines such as biosimilars and differentiated generics can help Square escape the intense price competition within the local market. At present, Bangladesh's fast-growing pharmaceutical market is driven by an aging population and rising chronic diseases which require innovative and effective medicines at reasonable prices- an opportunity Square can leverage by focusing on tailored solutions to meet these needs (Bangladesh Pharma Market, 2025). Finally, investment in local API (Active Pharmaceutical Ingredient) production can help decrease Square's dependency on importing the raw materials from foreign markets thus reducing foreign exchange risks, strengthening its supply chain and improving its sustainability.

Threats:

Square Pharmaceuticals faces some key external threats: The intense competition in the local pharmaceutical's fast-growing market keeps prices under pressure while also affecting profit margins. On the other hand, multinational pharmaceutical companies such as Sun Pharma, AstraZeneca PLC, etc are offering specialty drugs and other branded generics which are considered much more effective than the local alternatives, allowing them to charge premium prices and gain higher margins. Another key threat Square faces are the regulatory risks such as price controls, stronger GMP enforcement as well as other policy changes that may increase the company's overall costs while reducing its revenues. Further challenges include shipping disruptions or currency fluctuations which can affect the company's ease of importing APIs from neighbouring countries like China and India causing an effect on the availability of its products (Square Pharmaceuticals Ltd, 2024).

ESG:

Company's Sustainability Vision:

Square Pharmaceuticals Limited's sustainability vision encompasses three core objectives:

Be the Employer of Choice:

Square strives to create a supportive and fulfilling workplace by offering employees opportunities for growth, professional development, welfare benefits, and long-term job security. The company provides housing, transport facilities, healthcare services, and recreational amenities to ensure employee well-being and work-life balance.

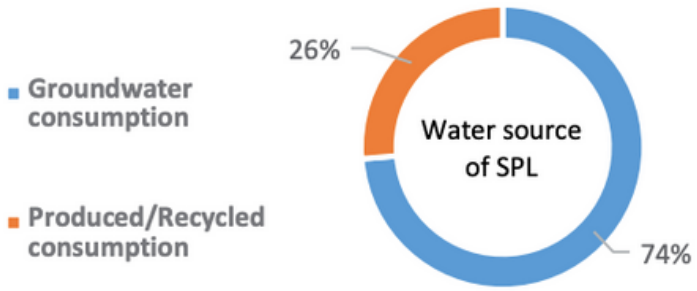
Stewardship of Social Responsibility:

Square is committed to operating as a responsible corporate entity by producing high-quality, affordable medicines and ensuring ethical practices across its operations. It actively engages in healthcare access programs, community development, education sponsorships, and environmental protection through effluent treatment plants, incineration facilities, and green belt development.

Alignment with Stakeholder Values:

Square seeks to build lasting trust with patients, healthcare professionals, investors, employees, and communities by adhering to the highest ethical standards. Its international certifications (WHO-GMP, UK MHRA, PIC/S) and global expansion (e.g., Kenya manufacturing plant, exports to 40+ countries) reinforce its commitment to delivering safe, effective, and reliable healthcare solutions for society at large.

Key Initiatives of ESGs taken by Square Pharmaceuticals:



1. Effluent Treatment Plants (ETPs) and Waste Management

Square Pharmaceuticals has established fully functional Effluent Treatment Plants (ETPs) in its manufacturing facilities to treat industrial wastewater before it is released into the environment.

This ensures that harmful chemical residues are neutralized, preventing pollution of rivers and farmland near its plants. The company also operates incineration plantsspecifically designed to safely dispose of hazardous pharmaceutical and organic waste. These measures reduce environmental contamination and align with Bangladesh's Department of Environment (DoE) standards.

2.Green Belt Development and Biodiversity Initiatives

Square has created extensive green belts around its factory complexes to improve air quality and support local biodiversity. The company invests in regular tree plantation drives both inside and around its facilities. These not only offset part of its carbon footprint but also provide natural barriers against industrial emissions. By integrating landscaping and biodiversity initiatives, Square demonstrates environmental responsibility beyond compliance.

3. Employee Welfare and Safe Work Environment

Square ensures employee well-being by offering housing, transport (including women-only buses), medical care, and recreational facilities for its workforce. These programs help reduce safety risks, particularly for women traveling to and from work, while also providing access to healthcare and fitness amenities on-site. Such initiatives strengthen employee loyalty and position Square as an employer of choice in Bangladesh's pharmaceutical sector.

4. **Community Health & Education Programs**

Through its CSR programs, Square runs free health camps, donates essential medicines during natural disasters, and supports disease awareness campaigns (e.g., on diabetes, nutrition, and maternal health). It also sponsors scholarships and skill development programs for students in science and healthcare. These initiatives directly improve access to healthcare and education in underserved communities, reinforcing Square's social license to operate.

5. Global Certifications and Compliance Systems

Square maintains strict adherence to international regulatory standards such as WHO-GMP, UK MHRA, and PIC/S, which require robust quality management, traceability, and compliance systems. Regular third-party and government audits ensure that Square's operations meet the highest levels of ethical and scientific integrity. This governance structure builds trust with both local stakeholders and international buyers.

Strategic Alignment with SDGs

Good Health and Well-Being (SDG 3):

Square Pharmaceuticals is committed to providing safe, effective, and affordable medicines to improve public health outcomes. The company supports community health programs, donates essential drugs in times of crisis, and expands access to life-saving treatments across Bangladesh and international markets.

Quality Education (SDG 4):

Square supports education through scholarships, training programs for healthcare professionals, and awareness campaigns on health and nutrition. By linking knowledge with public health, the company ensures stronger outcomes in both education and well-being.

Gender Equality (SDG 5):

Square promotes equal opportunities in the workplace with women making up approximately 26% of its workforce with special focus on women's empowerment. The company provides safe transport, housing facilities, and inclusive HR policies that encourage women's participation in leadership and decision-making roles.

Decent Work and Economic Growth (SDG 8):

As Bangladesh's largest pharmaceutical company, Square creates thousands of direct and indirect jobs. It adheres to strict labor standards, promotes skill development, and ensures safe and fair working conditions, thereby contributing significantly to the national economy.

Responsible Consumption and Production (SDG 12):

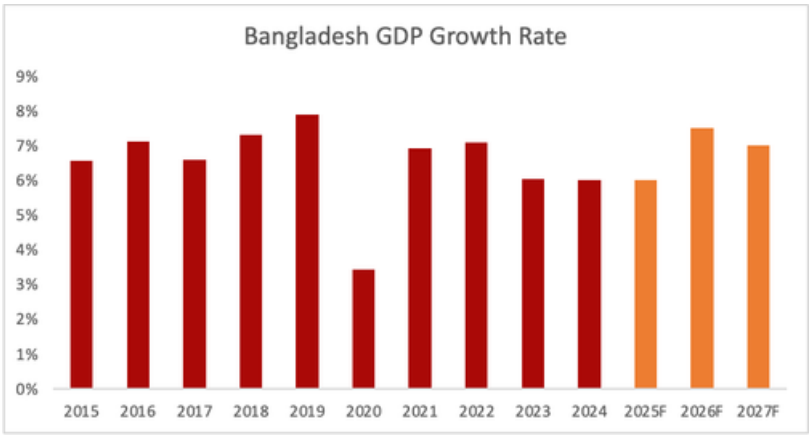
Square invests in environmental sustainability through effluent treatment plants (ETPs), incinerator systems for hazardous waste, and green belt development around its factories. These initiatives ensure responsible resource management and reduced environmental footprint.

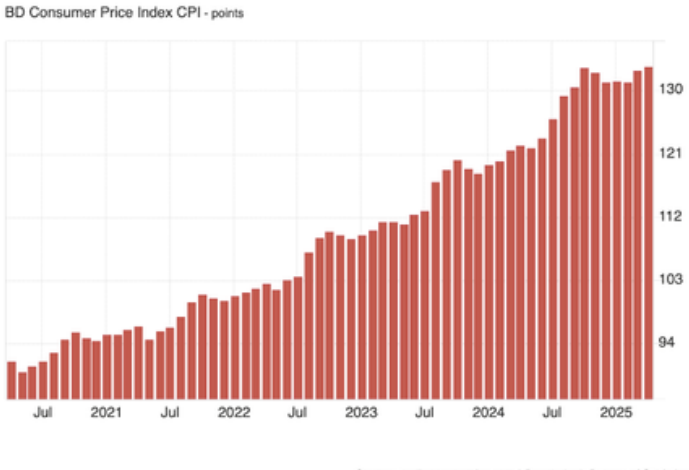
Climate Action (SDG 13):

Through energy efficiency measures, green infrastructure, and eco-friendly production systems, Square is working to mitigate its environmental impact. Biodiversity initiatives and climate-conscious operations reflect its long-term commitment to reducing climate-related risks.

MACRO ENVIRONMENT ANALYSIS

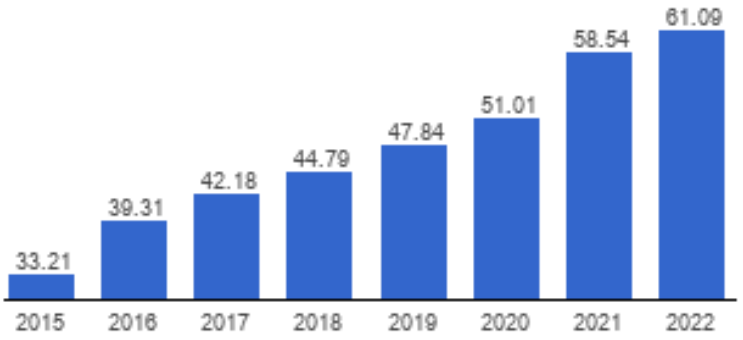
Pharmaceutical sector is one of the mature and rapidly expanding industry in Bangladesh which meets 98% domestic medicine demand which has grown strongly over the last decade and is inreasingly exporting generics to global markets. In the 2023-2024 fiscal year the export has reached to about USD 213 Million. However, major near term structural issues are heavy API (Active Pharmaceutical Ingredients) Import dependence and the looming end of TRIPS flexibilities tied to LDC status (Graduation expected November 2026) which together determine how fast Bangladesh can move up the value chain into higher margin medicine.

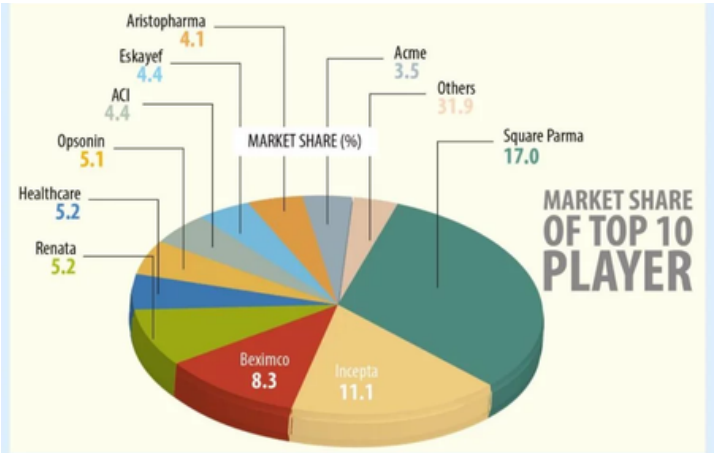




- **Bangladesh Healthcare Expenditure**

Bangladesh's pharmaceutical companies, including Square Pharmaceuticals have opportunities to grow in the global and domestic markets due to several key factors: rising healthcare spending, higher income levels, rapid urbanization, longer life expectancy, and greater health awareness. The world's healthcare expenditure from 2018 to 2022 shows that there is generally an increase in global healthcare expenditure per capita (World Bank, 2025) . Bangladesh's health expenditure per capita was approximately $61.09 in 2022, a 4.36% increase from 2021, according to Macrotrends and Knoema. In Bangladesh, over two-thirds of healthcare spending is out-of-pocket because many people pay directly for medicines at private pharmacies.



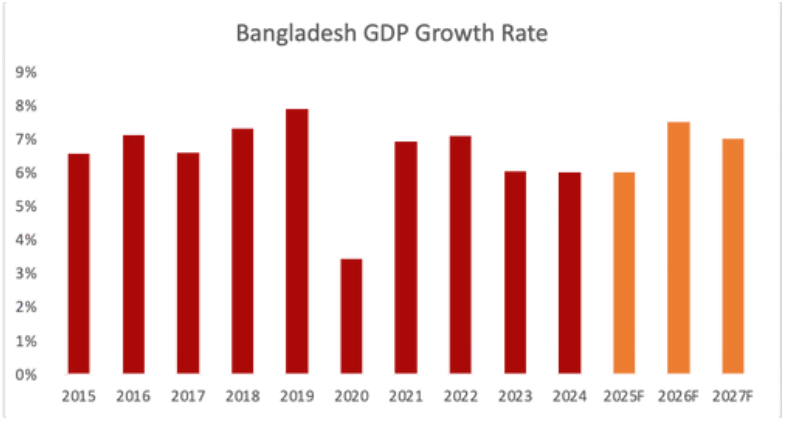


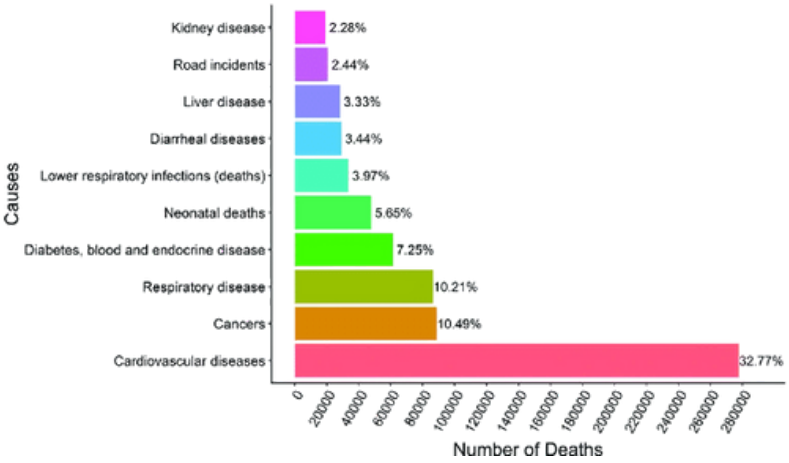
- **Bangladesh Pharmaceutical Market Snapshot:**

The domestic market size of Bangladesh's pharmaceutical industry reached approximately USD 3.39 billion by the end of 2024, with a 17.7% growth in the last quarter of 2024. There are currently around 265 pharmaceutical companies registered with the Directorate General of Drug Administration (DGDA) in Bangladesh.The industry meets over 98% of domestic demand and is projected to continue strong growth, becoming a $6 billion market by 2026.

Domestic Market Demand

Bangladesh is developing county with a rapidly increasing population rate. In 2025, Bangladesh's population is estimated at 173.9 million, with an annual growth rate of approximately 1.22% (Wikipedia contributors, 2025). Along with that the GDP is also increasing with a great number according to the latest data, the nominal GDP for the same year is projected to be around $467.2 billion, resulting in a per capita GDP of roughly $2,593.

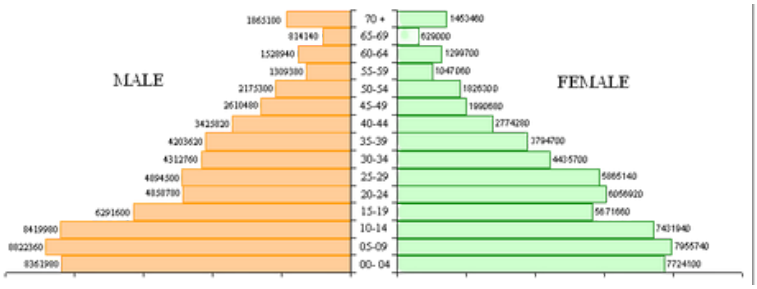


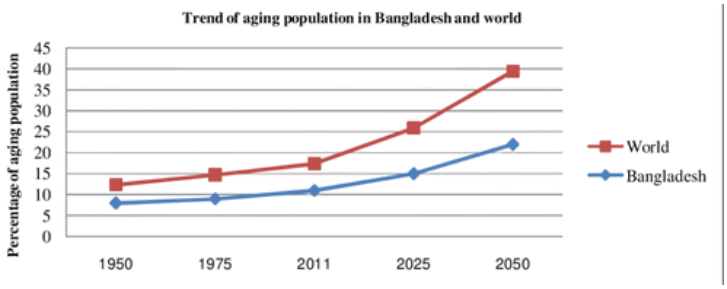


This fast developing and metropolitan busy life one thing that is alarmlingly increasing is that the health diseases. To cure from these diseases this large and growing population, urbanisation and rising middle-class incomes are increasing healthcare spending and demand for chronic-disease medicines (diabetes, hypertension, cardiovascular). People are dying every year for these diseases. which is shown in the figure aside.

According to a recent survey, a Diabetic (Type 2) patient need to spend around 2518 BDT/ Month. Along with till 2024, there are 13.9 million adult who has diabetes in our country (International Diabetes Federation, 2025) . In addition, this monthly spending on the medicine for a patient of Cardiovascular issue goes up to 8,000 BDT per month just only on the medicine.

So, it is only a analysis of three diseases, there are around 250 plus diseases that people are overall dealing with. and in this fast moving, undisciplined life of the people will must depend on the medicine in their lifetime.

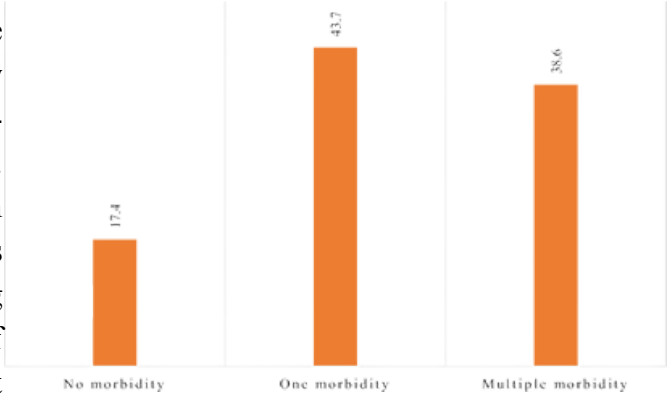




If we see the demographic structure of Bangladesh we can see that we are experiencing rapid population ageing, with the number of elderly people (60+) growing much faster than the overall population. The elderly population was 9.28% of the total population in 2022, up from 7.48% in 2011, and is projected to reach about 22% by 2050. Which means that The demand for the medicine will grow with the rising aging population.

Also Along female population is increasing as well In 2024, females made up approximately 50.8% of Bangladesh's total population and females are also affected by numerous of diseases like Polycystic Ovary Syndrome (PCOS) and many more.

In our country aging is associated with a significant increase in the prevalence and burden of diseases. particularly chronic conditions or multimorbidity which refers to the co-occurrence of two or more chronic diseases in an individual. Studies have highlighted the prevalence of various health issues among older adults in Bangladesh and the factors associated with their development. A 2025 study among adults aged 50 and over found the prevalence of multimorbidity in Bangladesh was around 39% (Mohsin et al., 2025) .



Overall, in our county households' out-of-pocket spending on medicines is high, with **87.9%** of households incurring such costs, though the poorest households allocate a larger share of their total spending to medicines (Rakin-Uz-Zaman, 2022) .

The overall picture clearly indicates that the demand for medicines in Bangladesh will continue to grow in the future. With rapid urbanisation, lifestyle changes, and the steady rise of chronic diseases such as diabetes, hypertension, and cardiovascular complications, healthcare expenditure per household is already significant and projected to increase further. This shows the immense financial weight of long-term treatment.

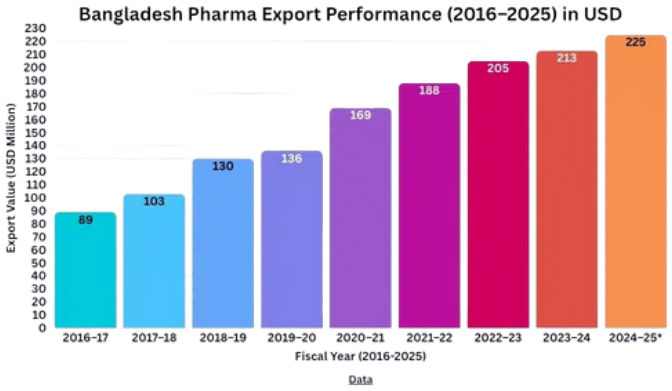
At the same time, demographic shifts are amplifying this trend. The ageing population is expanding rapidly meaning that age related illnesses will drive sustained medicine demand. Moreover, with females making up over half (50.8%) of the population, gender-specific health concerns such as PCOS and other chronic conditions will add to pharmaceutical needs.

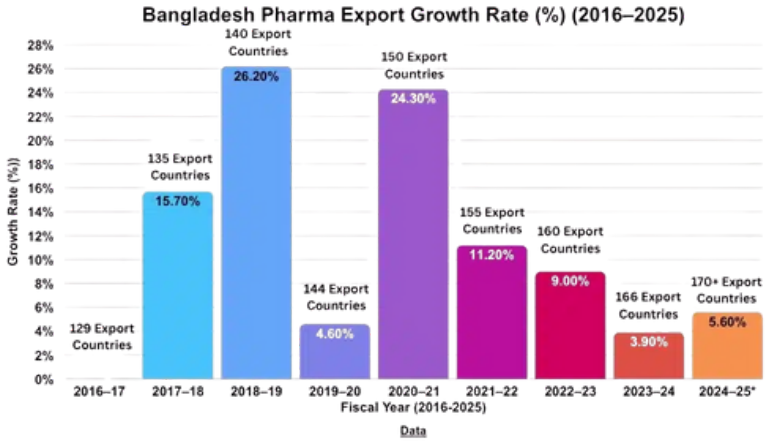
Taken together, these factors rising disease burden increasing life expectancy, a growing middle class, and gender-specific health demands all point to a strong and expanding domestic pharmaceutical market. Thus, the pharma sector in Bangladesh holds significant potential for future growth, both in terms of meeting local healthcare needs and strengthening its position as a vital industry in the national economy

Export picture of Bangladesh

After the RMG and the Leather sector Pharmaceutical sector is in the third position in terms of generating the export revenue. From the last 10 years this sector have seen an journey where the export run from 89 million to 225 Million USD .

pharmaceutical exports reached US$225 million in FY 2024-25 more than doubling over the last seven years. The Bangladesh government has declared pharmaceuticals a "Thrust Sector" to encourage growth and global expansion that has been designated by a government as a priority sector for investment and development due to its potential to drive economic growth and utilize local resources. These sectors receive incentives, subsidies, and support to encourage investment and help them become a significant part of the state's economy.

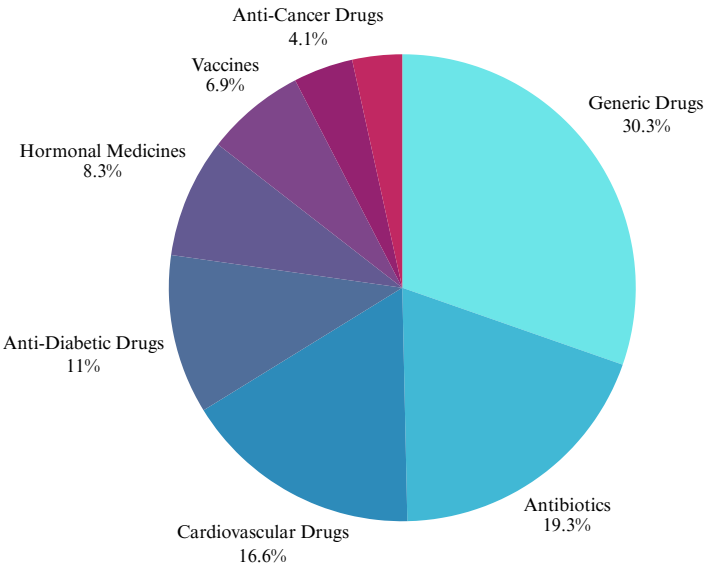




Bangladesh is now exporting more than 170 countries world wide. Where South Asia & Neighbors: Myanmar and Sri Lanka are long-standing buyers of Bangladeshi formulations. Alam informed that the new export destinations included Uzbekistan, Kazakhstan, and Kyrgyzstan, all members of the Commonwealth of Independent States (CIS) in Central Asia. "These CIS countries are becoming significant markets for Bangladeshi medicines"(Chakma, 2025) .

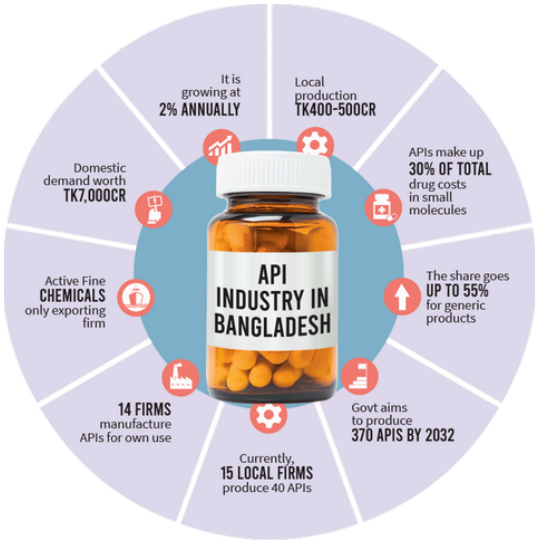
The most significant destinations for these exports include Sri Lanka, Pakistan, the Philippines, and Myanmar, with Myanmar accounting for 14.72% of total exports in a previous period. Along with this the huge African market is a becoming a great potential target for the Pharmaceutical industry. Because of the price sensitive market and as well as the less regulation its make this market more favorable. As a result we can see that Square Pharmaceutical LTD had already established their own subsidiary in kenya Nairobi.

As a Least Developed Country (LDC), Bangladesh has benefited from a waiver of the World Trade Organization's Trade-Related Aspects of Intellectual Property Rights (TRIPS) agreement. This has allowed companies to produce and export patented drugs at a lower cost an advantage that will be extended until 2033. We do export 30.3% of generic drug. According to 2024 export data, the top pharmaceutical variants exported from Bangladesh shows in the chart.

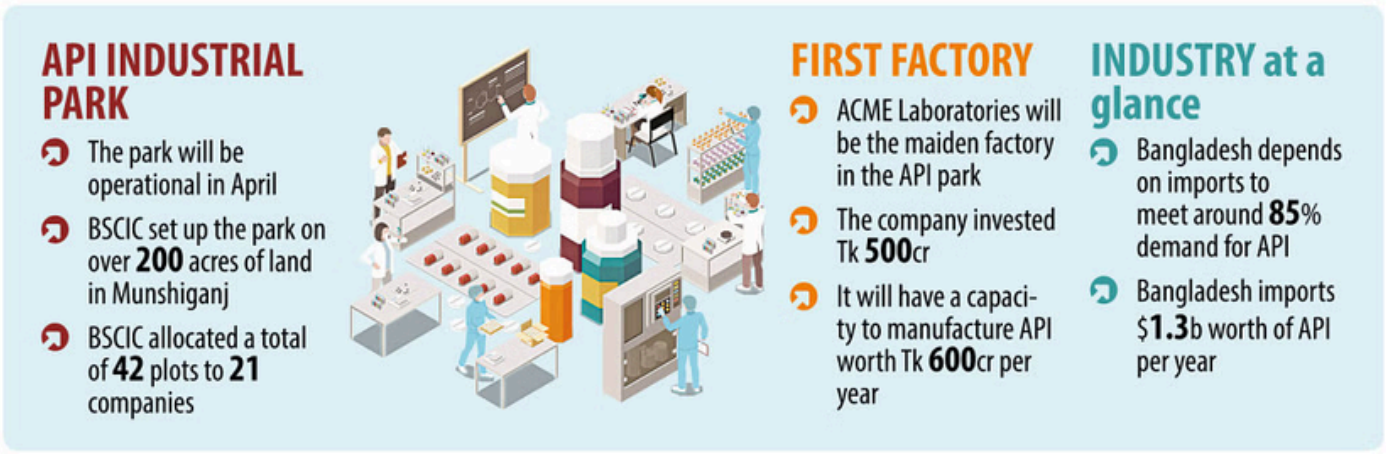


Sector Strategic Challenges:

The sector's immediate strategic challenge is heavy dependence on imported Active Pharmaceutical Ingredients (APIs) while the country approaches Least Developed Country (LDC) graduation. which will phase out TRIPS flexibilities that have helped the industry expand generics exports. We are importing 1.3 Billion Dollar worth of API annually according to BIDA. According to local drugmakers, around 85 percent of drug ingredients are still imported, mainly from China and India. however the positive side is that at least six domestic firms, including Square, Beximco, ACME and Incepta, currently produce 40 types of APIs worth Tk 2,500 crore.



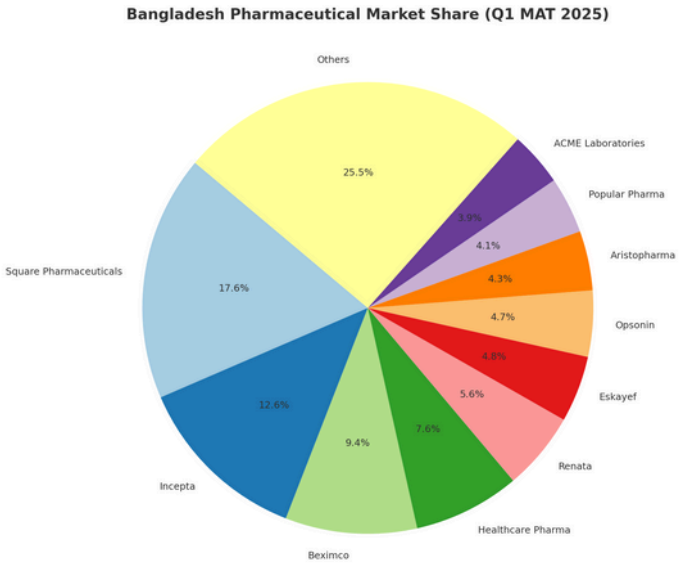
Meanwhile, health economists say delays in building API capacity could lead to patent-related issues. Bangladesh currently enjoys a patent waiver as a least developed country, but that exemption will end when the country graduates from the LDC club in November next year.



To capture significant upside over the next 3-7 years, Government has initiated an API industrial park (Gajaria, Munshiganj) to encourage local API manufacturing but the project faces infrastructure and utility challenges (e.g., gas connection, single-window coordination) that will be resolved to attract hopefully under the upcoming government.

COMPETITIVE ENVIRONMENT

Square Pharmaceuticals falls under the Pharmaceuticals & Healthcare sector and is categorized under the Pharmaceuticals & Chemicals sector under Bangladesh's stock market (DSE). To understand Square Pharmaceutical's market position and brand strength an analysis is done below:

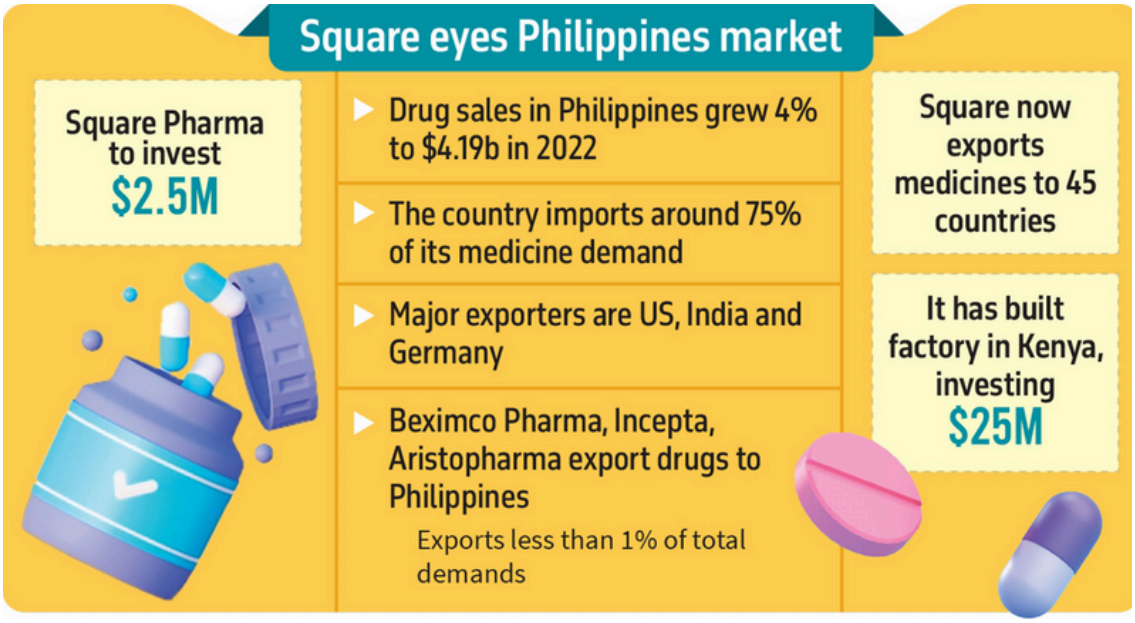


1) Market position

Square Pharmaceuticals holds a dominant market share in Bangladesh, particularly within the pharmaceuticals industry. The company faces competition from other local brands such as Incepta and Beximco who also hold a significant share in the market but not as strong as Square. Industry analyses repeatedly list the top five: Square, Incepta, Beximco, Renata and ACI as the market's main competitors. Square's strong domestic distributor network and presence in hospitals/retail pharmacies enables it to make its products available to a wider customer base. Its strong logistics reduce stockouts and increase physician/retailer availability which is a key contributor towards its sales growth.

2) Brand Strength

Square Pharmaceuticals has established itself as one of the most trusted and recognizable names in Bangladesh's healthcare sector. Its decades of consistent quality, extensive product portfolio, and international certifications have built a strong reputation for reliability among hospitals, clinics, and consumers alike. For over-the-counter (OTC) and consumer-facing products, this brand equity allows Square to command a slight premium, as patients and retailers perceive its products as safe and dependable.



The company's export and compliance with global regulatory standards further strengthen its name as a high-quality, internationally credible pharmaceutical producer. In recent years, Square has expanded beyond Bangladesh, setting up a manufacturing facility in Kenya and exporting to more than 40 countries across Asia, Africa, and the Middle East. These international ventures not diversify revenue streams but also strengthen its brand as a regional pharmaceutical leader with global aspirations.

3) Customer Loyalty

Customer loyalty in the Bangladeshi pharmaceutical market is shaped primarily by physicians, pharmacists, and institutional buyers rather than direct consumer preference. Square leverages its wide distribution network, extensive medical sales force, and consistent product availability to maintain strong ties with prescribers and retailers, ensuring repeat prescriptions and steady demand. Its long-standing market presence has created deep-rooted familiarity among healthcare professionals, who continue to recommend its products based on trust and reliability. However, this loyalty cannot be promised - competitors can challenge it through aggressive pricing, stronger hospital partnerships, or by introducing innovative formulations and biotech products that attract physician interest and can possibly put a dent on Square's leading position.

Porter's Five Forces

The World Trade Organization's (WTO) Trade-Related Aspects of Intellectual Property Rights (TRIPs) agreement allowed the manufacture of high quality medicines in Bangladesh through reverse-engineering of patented generic pharmaceutical products. This helped strengthen the local production of medicines as well as provided opportunities for the local companies to export the products in over 85 countries across the globe. The Drug Act 1940, implemented by the Bangladesh Government in the year 1974, played a key role in safeguarding the local pharmaceutical market by limiting imports of similar locally produced medicines. To better understand how the pharmaceuticals industry in Bangladesh is operating, the Porter's Five Forces Model has been used for the analysis.

Competitive rivalry: Moderate

Bangladesh's pharmaceutical industry is overseen by the Bangladesh Association of Pharmaceutical Industries (BAPI), which includes members of large, medium, small, national and foreign companies. The competitive rivalry within this industry is **moderate.** This is because our pharmaceutical industry remains largely protected from the external competition of foreign companies entering the market. Imports are restricted for drugs that are similar to those produced locally (Bangladesh.uz). This helps local drug manufacturers to dominate the market and hence the competitive rivalry within the pharmaceutical industry is mostly local drug manufacturers producing generic pharmaceutical products and exporting to the international markets around the globe.

Threat of new entrants: Moderate to Low

The threat of new entrants in the pharmaceutical industry in Bangladesh can be considered to be moderate to low. This is because, even though there are a lot of new emerging companies with a promising future and high growth potential due to technological and product advancements, market giants such as Square Pharmaceuticals, Incepta, Beximco, Renata, etc have a strong market presence and hence it will still be a challenge for the new entrants to be able to dominate the existing market scenario.

Threat of substitution: Low

Substitute products to drugs and medication such as ayurvedic, herbal, homeopathic drug manufacturing companies are producing some drugs that have the same function as that of the drugs produced by the pharmaceutical giants in our country. Yet, the market demand for these substitutes is still considered low compared to the drugs produced by the local pharmaceutical companies, and hence we can say the threat of substitute products is low in the industry as maintaining the same quality and affordability of the alternate drugs can be considered a big challenge.

Bargaining power of suppliers: High

Since the pharmaceutical industry in Bangladesh largely depends on the import of Active Pharmaceutical Ingredients (API), hence the suppliers of APIs have a high bargaining power. Bangladesh depends on countries like China, Germany, Switzerland, etc for the import of APIs as there is currently no API manufacturing plant made for the domestic market (Bangladesh.uz). This gives the international suppliers a strong bargaining power.

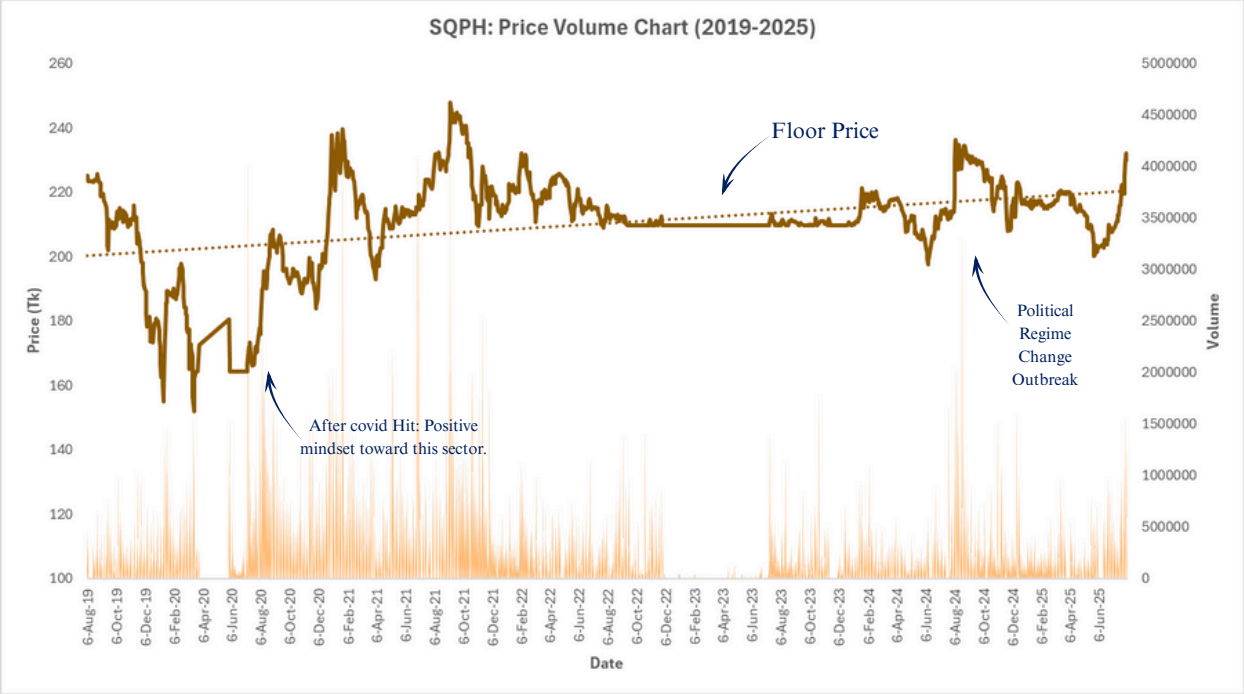
Bargaining power of buyers: Low

Since most local companies in Bangladesh produce medicines whose prices are similar to one another, this gives the customers very little bargaining power. Pharmaceutical companies in Bangladesh promote and distribute their products through wholesale and pharmaceutical retail shops as well as through providing supplies to different medical practitioners around the country.

Although the domestic market is not yet substantial enough for the setup of API manufacturing plants which can help streamline the process of local production of APIs in the future, the government is in plans to set up API facility parks in the country (Bangladesh.uz). This will create new opportunities for the local companies to diversify their product offerings and offer high quality medicines at an even cheaper price than the current imported ones.

TECHNICAL ANALYSIS

Price Volume Analysis



There is a relationship between a stock's price and the volume. Through the price volume chart it is possible to analyze the market sentiment, momentum and potential turning points in the stock.
In the above chart we can see the price movement of Square Pharmaceuticals in its last six years. Where we can see that the price range of this stock was 248 Tk to 152 Tk.

Due to the Covid impact worldwide we have seen a great panic sell and a negative impact in the international market. Which reflect in our chart above as well where the price drops from 248 to 152 . losses it 33.1% of its share price along with its declining trading volume. When the covid hit in our country which creates a panic within the investors we have seen a another downfall of the price. To stop this panic sell the Bangladesh Security and Exchange Commission (BSEC) board declared general holiday to curb the virus spread from March 26, 2020 from where we can see no movement of the stock till May 31, 2020.
When the market resumed even for a short trading period we saw a great performance where the price rally from 172 Tk to 240 Tk. This indicated the investors sentiment that they were optimistic about that even in this tragic moment, the pharmaceutical company has a potential to do better. After that we have seen that the stock ensured an upward trend by making a three upward swing.
Though the overall market was not doing well. To stop the downfall of the index BSEC set a floor price at 209.8 tk on 28 July, 2022. Which was withdrawn until 13 July 2023 after more than seven months.
After removing the floor price restriction the stock was trying to capture an upward momentum. But it couldn't sustain its volume. As a result it saw a downtrend from 221 Tk to 198 Tk. From which the stock again take a support and ensures a slow upward movement. This upward movement got a speed from 6 August, 2024. After a great change in our political regime change. After the downfall of the fascist government the stock gave a 15.65% return in just 4 days. Which shows the tremendous optimism among the investor about this stock and also about the overall market.

Though this sudden bullish trend was not supported by the fundamental investors and the foreign investors. Because no big investors would like to take the risk in an unelected interim government. As a result the stock grabs its downtrend and again touches its supporting zone which is 198 tk to 200 Tk. Now after May 29, 2025 stock got a short term upward momentum with its average high volume.

Also we can see a common price adjustment at the Ex dividend date. Where the price was adjusted according to the company's declared dividend payment amount. Which is a general financial norms. Such dates are on 24 November, 2024 and 23 November 2020. Though in the middle year the stock was stucked on the floor price so the price adjustment movement is not so visible.

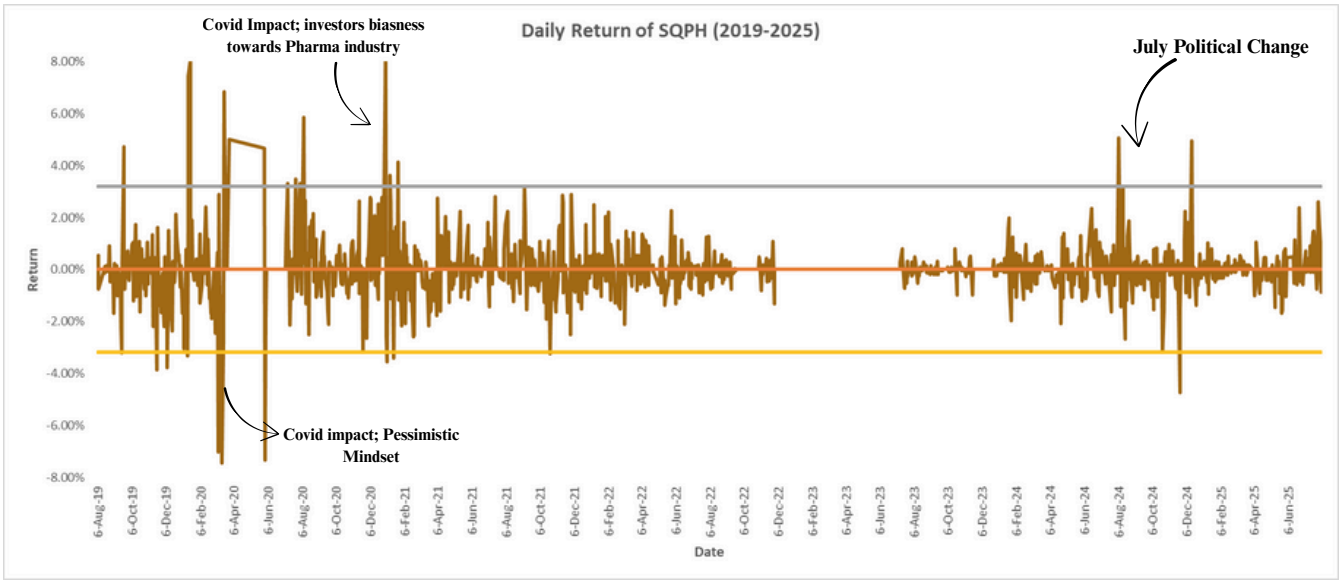


Figure 02: Daily Return (2019-2025)

Daily Return Analysis

From the daily return analysis we can see that how much this stock moved in a single day. Also we can analyze the volatility as well.

Over here we can see that the daily average return of the Square Pharma was around .01% and the annualized return was 1.69% which indicate that this is a stable and mature stock.

From a Standard deviation of a stock we can measures how much a stocks returns fluctuate around its average return in other words, it's a way to quantify volatility or risk. Investors use it to understand how unpredictable a stock's price movements are a higher standard deviation means greater variability and, therefore, higher risk.

For Square Pharma, the daily standard deviation of returns is 1.07%, meaning its day-to-day returns typically move about +-1.07% from the average. When annualized, this becomes 16.33% indicating that over a year, the stock's return could reasonably be expected to vary by around +-16% from its average. This shows that although Square Pharma has relatively low daily volatility compared to many growth stocks, annual movements can still be significant.

Annaulized Return	
Daily Average Return	0.01%
Num: of Trading Days	235
Annaulized Return	1.69%
Annaulized STDVe	
Daily Stdev	1.07%
Annualized Stdev	16.33%

Analysis of DSEX vs Square pharmaceuticals

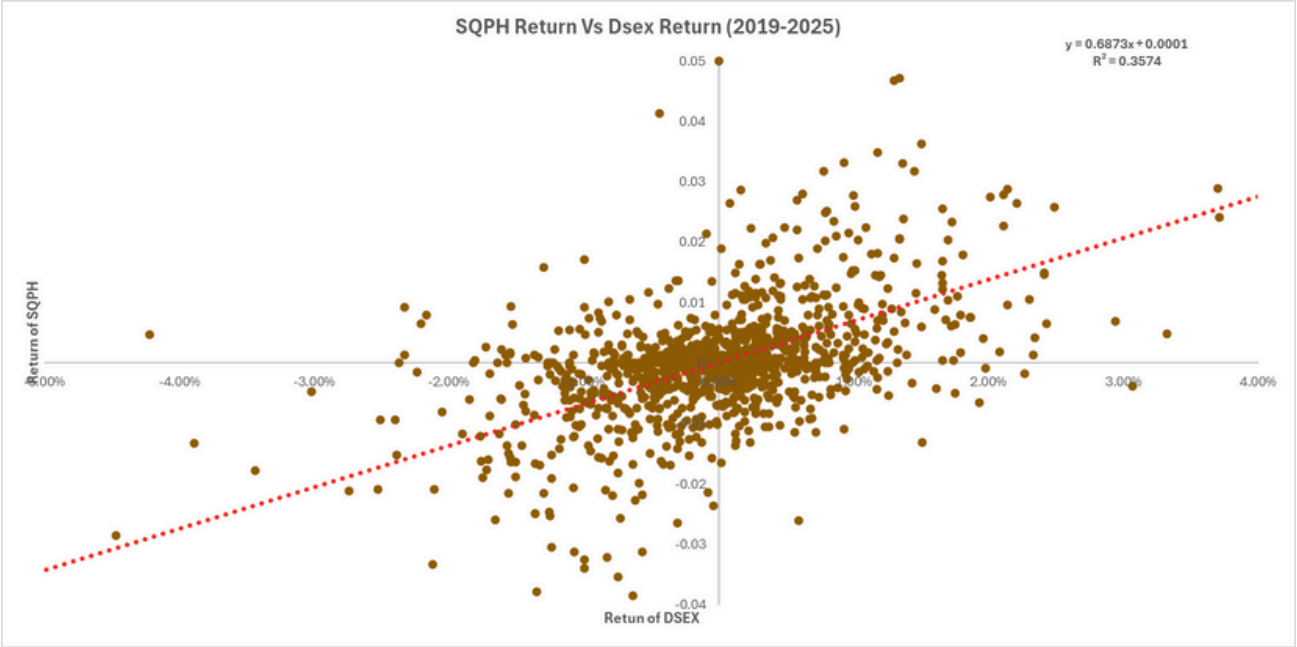


Figure 03: Analysis of DSEX vs Square pharmaceuticals(2019-2025)

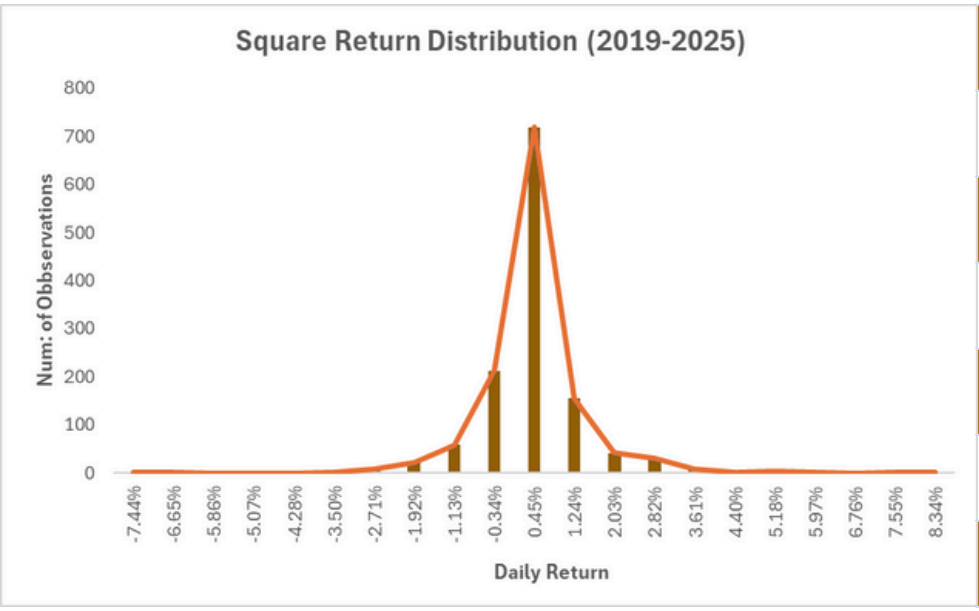
Beta is a measure of a stock's sensitivity to overall market movements. It tells us how much a stock's return is expected to change in response to a 1% change in the market index (here, the DSEX).

For Square Pharmaceuticals (SQPH), the 6-year Beta is 0.69, which means the stock's returns are about 69% as sensitive to movements in the DSEX index. If the DSEX rises or falls by 1%, SQPH's returns are expected to change by about 0.69% in the same direction. Since the Beta is below 1, the stock is relatively defensive, with lower volatility during market swings. This suggests that SQPH may provide more stability in downturns but could also deliver smaller gains in strong bull markets.

Additionally, the R Square value is 0.245 (24.5%), meaning only about 24.5% of SQPH's price movement is explained by overall market fluctuations. The remaining 75.5% is driven by company-specific or industry-specific factors, which indicates that most of its risk is unsystematic and can be reduced through diversification.

The scatterplot analysis supports these results in the graph. the positive slope of the trendline confirms a mild positive relationship with the market, but the wide scatter shows that SQPH's performance often diverges from the broader index. Overall, SQPH carries relatively low market risk and is influenced more by its internal fundamentals and the pharmaceutical industry dynamics than by general market conditions.

Return Distribution



Max	8.34%
Min	-7.44%
Range	15.78%
Num: Bin	20
Distance	0.79%
Skewness	0.8859
Kurtosis	15.30

Volatility

The histogram of returns shows the frequency distribution of daily returns for Square Pharma. The frequency of returns is highest near the center at 0.67%, which indicates that most returns are clustered close to the mean. The range of returns is 15.78 (Max: 8.34%, Min: -7.44%), suggesting that the stock experiences both upward and downward fluctuations, but these remain within a moderate boundary. This reflects a controlled level of volatility, meaning that Square Pharma managed to keep its return movements relatively stable over time

Skewness

Skewness measures the asymmetry of the distribution of returns. A skewness of 0.8859 indicates a positively skewed distribution, meaning the right tail is longer than the left. This suggests that Square Pharma's stock returns have a higher probability of generating frequent modest gains with occasional large positive returns. While the majority of returns are small and positive, there is still a possibility of sharp movements in either direction.

Kurtosis

Kurtosis measures the "tailedness" or sharpness of the distribution compared to a normal distribution (where kurtosis = 3). Here, the kurtosis is 15.30, which is much higher than 3, indicating a leptokurtic distribution. This means the distribution is sharply peaked around the mean, with fat tails. As a result, Square Pharma's returns are more likely to experience extreme values (both large gains and large losses) compared to a normal distribution.

Till now we have analyze a blue chip stock of DSE which is Square Pharma. Where we have analyze their growth factors and their cash cow product. Also we have done a short industry growth potential analysis where we get an optimistic idea about this sector.

along with this we have seen the 6 years price volume chart from where we have analyze the sentiment of the investors in different time. Also we draw the daily return distribution graph where we have analyze the volatility of this stock. To see the performance with the DSEX we have done the Beta analysis. Also at the end we have done the return distribution analysis.



Summary: Strong Buy

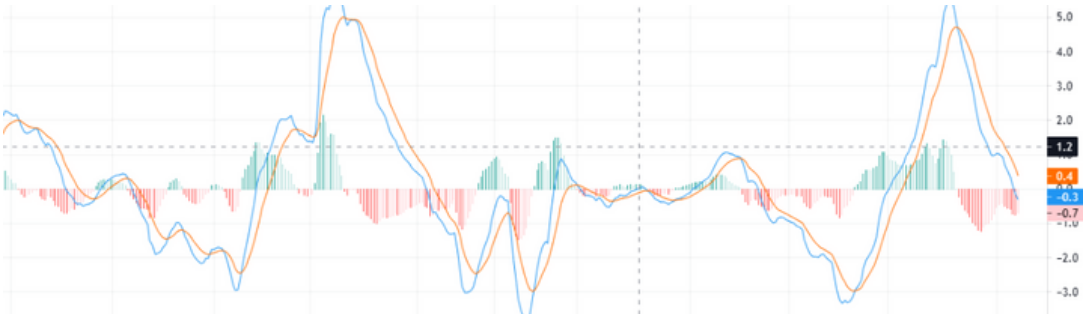
Moving Averages:	Strong Buy	Buy: (12)	Sell: (0)
Technical Indicators:	Strong Buy	Buy: (7)	Sell: (1)

Note: This is the analysis taken from Investing.com



In the technical analysis the most famous indicator is the Relative Strength Index (RSI) which is a momentum indicator that measures the speed and change of price movements on a scale of 0 to 100, helping investors understand whether a stock is overbought or oversold (Fernando, 2025) . An RSI above 70 usually signals that a stock is overbought and may face a downward correction, while an RSI below 30 suggests it is oversold and could rebound.

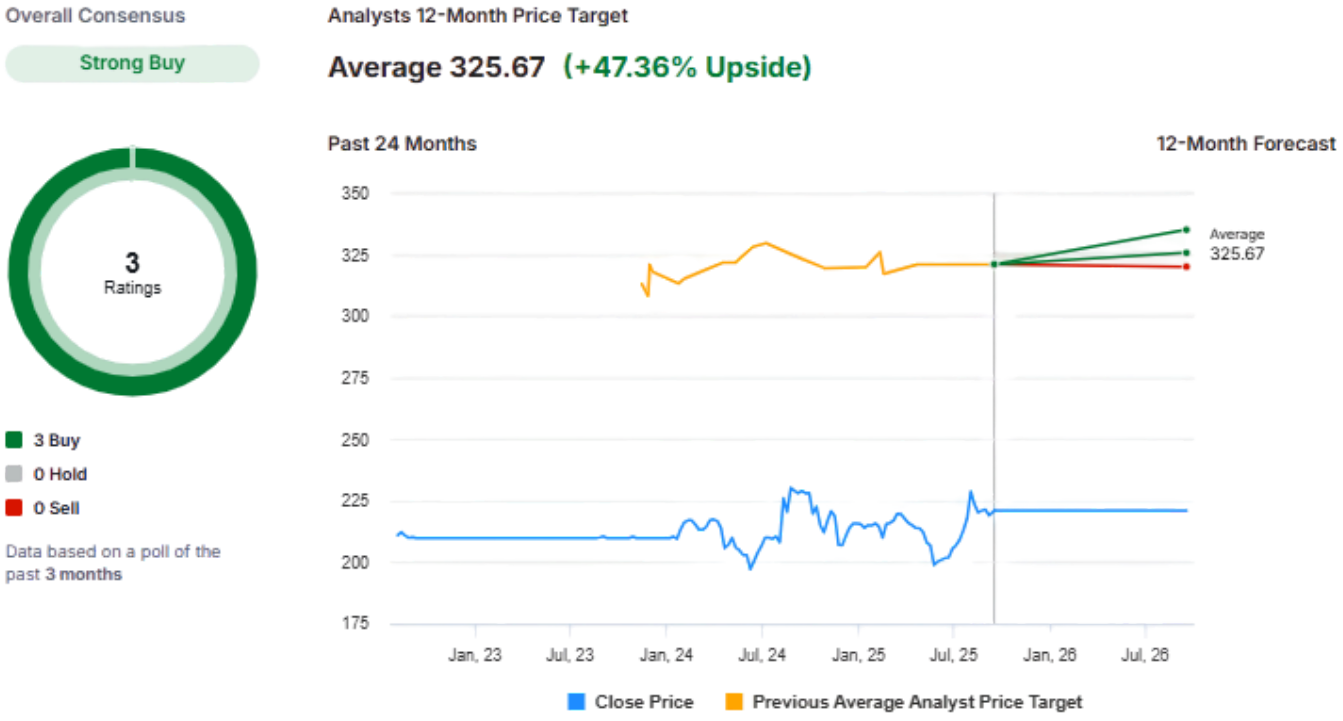
In the case of Square Pharma the current RSI is 44.30 which indicates the stock is in the neutral zone leaning slightly toward weakness. This means it is not in an extreme condition of being overbought or oversold, but rather showing mild bearish sentiment with potential for either consolidation or a shift in momentum depending on market activity.



The Moving Average Convergence Divergence (MACD) is a trend-following indicator that shows the relationship between two moving averages of a stock's price while the Signal Line is used to identify changes in momentum (Dolan, 2025) . When the MACD line is above the Signal Line, it indicates bullish momentum, and when it is below, it signals bearish momentum. In the case of Square Pharma, the MACD value is -0.3 and the Signal Line is –0.4. Since the MACD is higher than the Signal Line (–0.3 > –0.4), it suggests that bearish pressure is easing and there may be an early sign of a potential upward shift in momentum for every countercyclical (Buy Low-Sell High) investor it is a golden time to enter the stock.



One of the most useable technical tool is the Fibonacci retracement tool which is an indicator to used by traders to identify potential support and resistance levels during a price Pullback in the trend. According to this indicator the area of between 50% (.5) to 61.8% (0.618) is known as Golden zone of retracement. as we can see that the price of the stock is near the 50% zone where it made a Spinning top Candle which mean an indecision moment. Although we can say it is close to its support area which is its 50% zone.

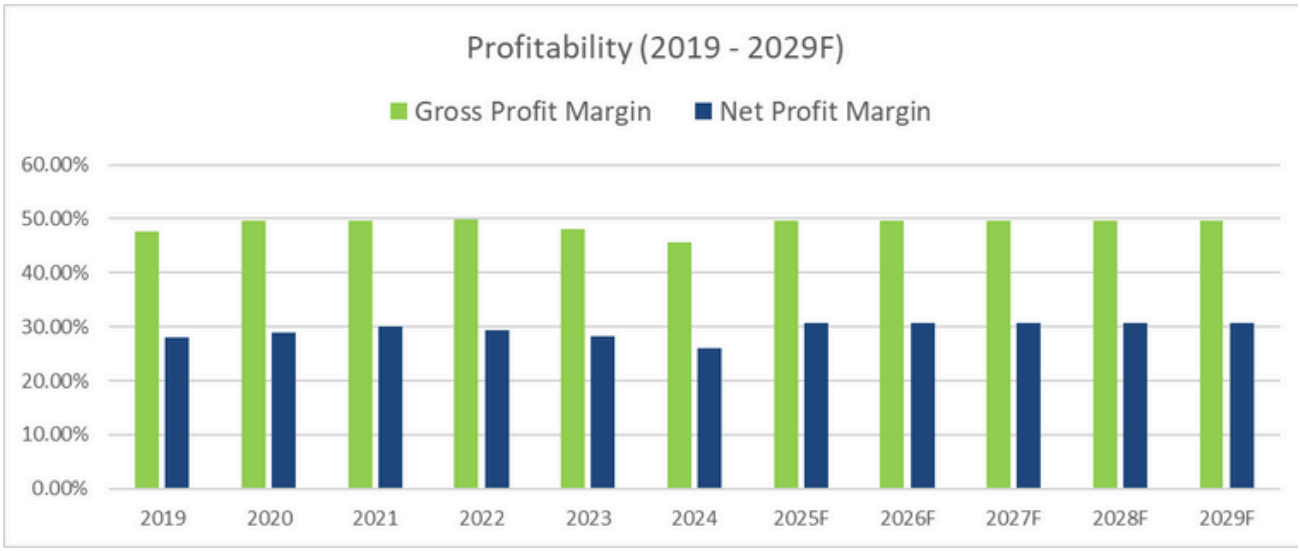


Name	Company	Industry
Valuation Ratios		
P/E Ratio TTM	8.03	24.91
Price to Sales TTM	2.49	2.84
Price to Cash Flow MRQ	13.76	128.37
Price to Free Cash Flow TTM	34.6	36.05
Price to Book MRQ	1.4	2.4
Price to Tangible Book MRQ	1.4	2.42
Management Effectiveness		
Return on Equity TTM	18.33%	13.93%
Return on Equity 5YA	18.09%	15.24%
Return on Assets TTM	8.61%	7.26%
Return on Assets 5YA	10.01%	8.6%
Return on Investment TTM	8.97%	8.02%
Return on Investment 5YA	10.5%	9.4%
Financial Strength		
Quick Ratio MRQ	9.53	4.98
Current Ratio MRQ	12.12	6.81
LT Debt to Equity MRQ	0.26%	11.44%
Total Debt to Equity MRQ	0.73%	41.83%
Dividend		
Dividend Yield ANN	5.16%	3.73%
Dividend Yield 5 Year Avg. 5YA	4.4%	3.32%
Dividend Growth Rate ANN	4.76%	13.7%
Payout Ratio TTM	41.12%	36.77%

If we compare the Square Pharmaceutical company with the overall industry we can easily understand that in every aspect of ratios Square pharma did better than the overall industry.
In the Valuation Ratio the P/E is 8.03 which states that this stock is on undervalued. Along with the other ratios it shows greater efficiency in Management effectiveness. All the ratios including ROE, and ROI all are greater than the overall industry which represent the commitment and efficiency of the Management committee. It also proved its financial strength by the financial ratios. By the total debt to equity ratio we can say that this is almost a zero debt company.
By the dividend giving practice we can see that the dividend growth yield is and the payout ratio is also hold a better position.

So overall, we can overall in every aspects of ratio analysis the Square holds a good position is the overall industry.

FINANCIAL ANALYSIS



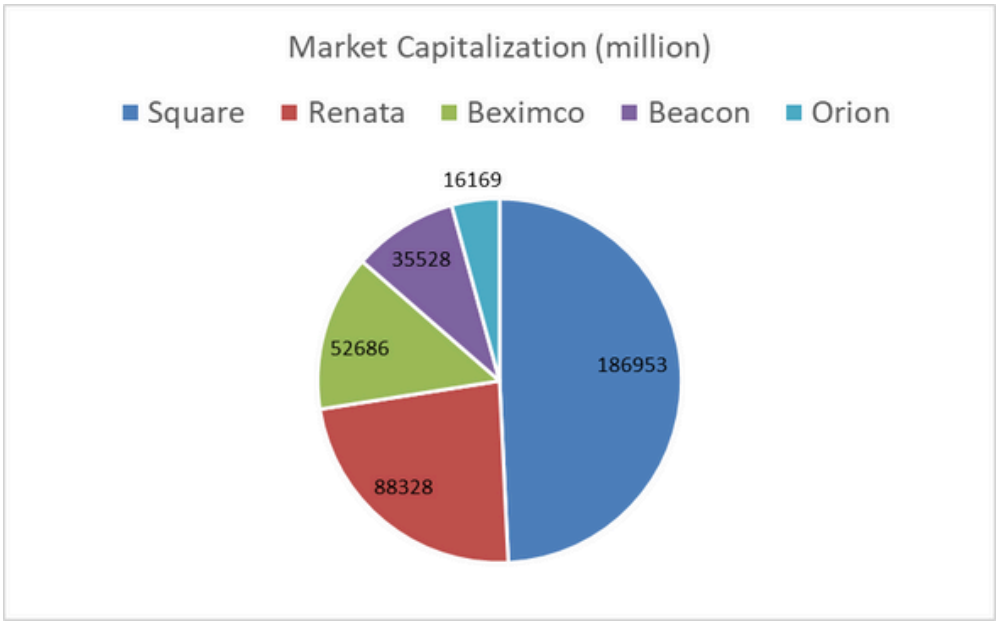
Profit Margins and Profitability

Square's profitability has been structurally strong throughout the years from 2019 to 2023, with gross profit margin hovering near the 47–50% band and net profit margin near 28–30%. In FY2024, both profit margins dip, with gross profit decreasing to 45% percent and net profit margin slipping to around 25%. This decline is mainly due to a year of cost pressure rather than demand weakness. Bangladesh's pharma manufacturers still import the overwhelming majority of their active pharmaceutical ingredients (APIs), well over 90%, primarily from India and China. When the taka weakens and global input prices are firm, the cost of sales rises quickly. The taka depreciated by about 13.8% in FY2023 and a further 12.72% in calendar 2024, materially lifting the local-currency cost of imported inputs; in addition, energy costs have been under upward pressure, with a 33% industrial gas tariff hike announced in 2025 that, if sustained, raises the hurdle for cost control. Those are textbook drivers for the profit margin decline we see in 2024. Looking forward, our forecast predicts that the profit margins will bounce back toward historical levels by 2025F–2029F, near 50% gross profit margin and a net profit margin of 30%, which is plausible if exchange-rate volatility eases and API prices normalize, along with price adjustments continuing on non-gazetted molecules while essential-drug prices remain administered by the regulator.



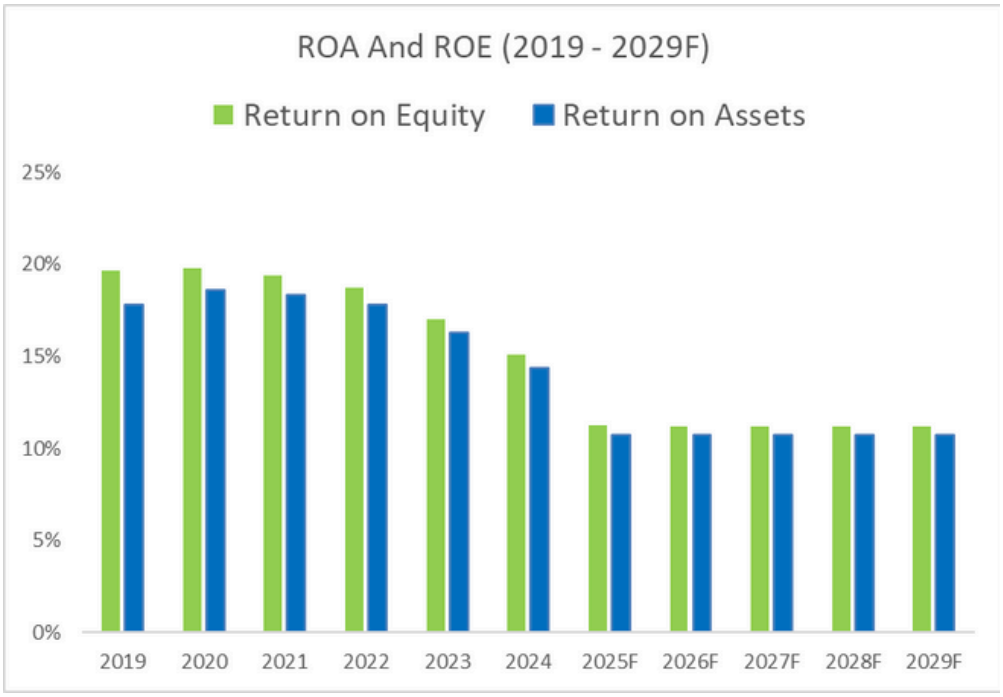
Current Ratio

The current ratio peaks above 20 in 2023 and drops to 12.5 in 2024, which is still exceptionally liquid for a pharmaceutical company. The step-down is consistent with two things we already know from the company disclosures: strong cash outflows to shareholders and fresh investment. In FY24, Square announced a record cash dividend and outlined a Tk 500 crore expansion plan, which together can draw down cash and reduce current liabilities from a very low base, thereby compressing a very high current ratio back toward a more normal (but still conservative) level. The forecast gently lowers the ratio to 12 by 2029F, a reasonable working-capital normalization path if the firm continues to fund growth primarily from internal cash while maintaining healthy, but not idle, cash balances.



Market Capitalization

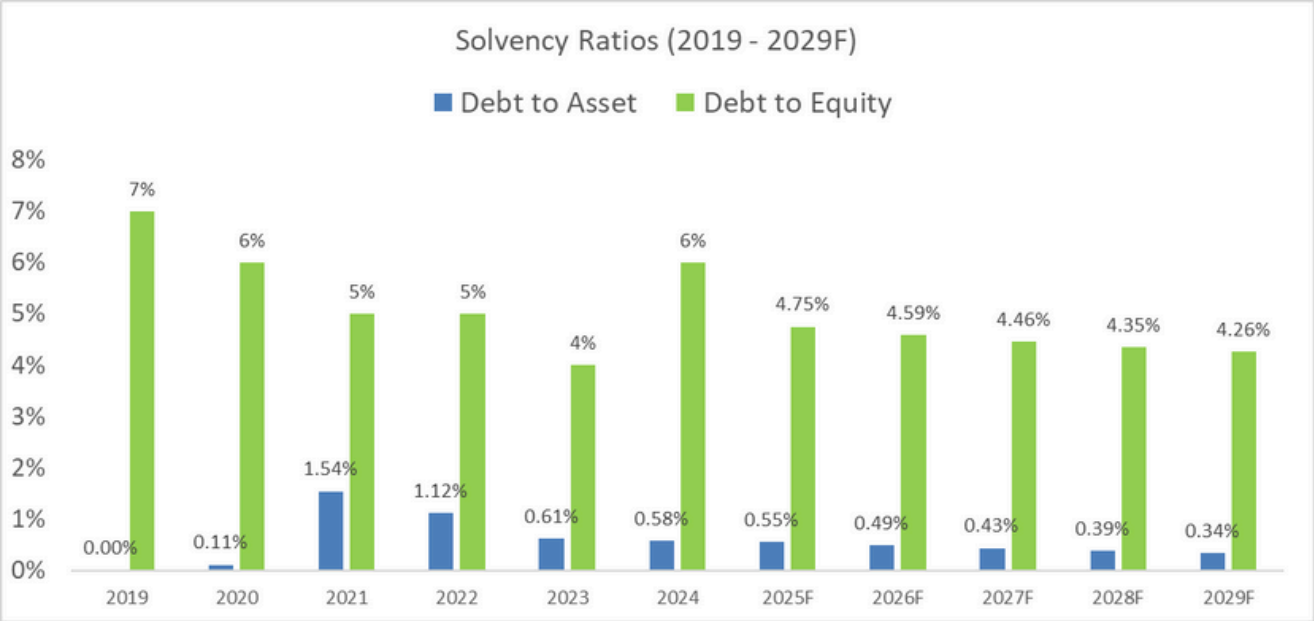
The pie chart shows Square dominating the market by far with the largest market capitalization among the peer set. That leadership is coherent with the financial profile in this study - structurally higher margins, industry-leading liquidity, and a long record of profitability support a premium valuation multiple versus domestic peers.



Operating Efficiency

ROA and ROE

Returns on assets and equity trend down from the high bars throughout the years from 2019 to 2023 to 11% in the forecasted period. This is not a signal of a weak business; rather, it is what often happens when a low-leverage leader invests aggressively. When an already cash-rich balance sheet funds capacity additions, the asset base grows faster than earnings, which mechanically compresses ROA and ROE even if profits keep rising. Square's publicly announced capex program for expansion supports this denominator effect and makes our lower, flatter forecast for returns defensible as a "growth-before-harvest" phase. If new capacity scales and cost pressures moderate, returns can stabilize in the low double-digits without additional leverage risk.



Liquidity and Solvency

Debt-to-equity and debt-to-assets sit in the very low single digits across the entire horizon, with a slight downward shift in the forecast years. That is consistent with Square's historic model of funding growth through retained earnings and operating cash rather than bank borrowings. It fits neatly with the interest-cost footprint we see in the statements (negligible finance expense) and with the industry's preference to avoid currency-mismatch risk in periods of exchange-rate stress. With pricing of some essential drugs overseen by the regulator, keeping leverage low preserves flexibility through cycles.

Square Pharmaceuticals demonstrates an exceptionally strong liquidity position. The company's current ratio, which had reached an unusually high 21.85 in FY2023, adjusted to 12.48 in FY2024. Even after this decline, the figure remains far above industry norms, where a ratio between 2 and 3 is typically considered healthy. This suggests that Square maintains a very large cushion of current assets relative to its short-term obligations, ensuring that it can comfortably meet operating needs, finance inventories, and continue paying dividends without pressure. The normalization of the ratio largely reflects the deployment of cash into expansion projects and shareholder payouts rather than any sign of liquidity weakness.

From a solvency perspective, Square is equally secure. The company's debt-to-equity ratio stood at just 0.06 in FY2024, while debt-to-asset remained at comparably low levels. This reflects its long-standing strategy of financing growth through retained earnings and operating cash flows rather than relying on borrowings. As a result, interest expense is negligible, and the firm faces virtually no refinancing or leverage risk. As stated earlier, the combination of very high liquidity and minimal leverage positions Square as one of the most financially resilient companies in the Bangladeshi pharmaceutical sector.

INVESTMENT THESIS

Square Pharmaceuticals stands out as the financial and operational leader in Bangladesh's pharmaceutical sector. Despite the recent decline in the profit margin in the 2024 fiscal year which was caused by currency depreciation of Taka and rising input and energy costs, Square Pharmaceuticals continue to achieve a net profit margin of 25%, which is much higher than the local competitors. Its fortress balance sheet, showed a current ratio of 12 and neglegible leverage on debt reflected for their operations. This gives Square Pharma an unmatched cushion to fund the expansion plans and weather macroeconomic volatility.

A central factor in both recent challenges and future opportunities is Square's reliance on Active Pharmaceutical Ingredients (APIs). Like most Bangladeshi manufacturers, Square imports the overwhelming majority of its APIs from India and China. This dependence exposes it to fluctuations in global API prices, exchange rate volatility, and supply chain disruptions. The margin dip in 2024 directly reflected these imported cost pressures. However, Bangladesh's government has prioritized the development of an API industrial park and is offering incentives to encourage local API production. For Square, with its scale, financial strength, and technical capacity, participation in such initiatives could substantially reduce import dependency, stabilize margins, and enhance competitiveness in both domestic and export markets over the long run.

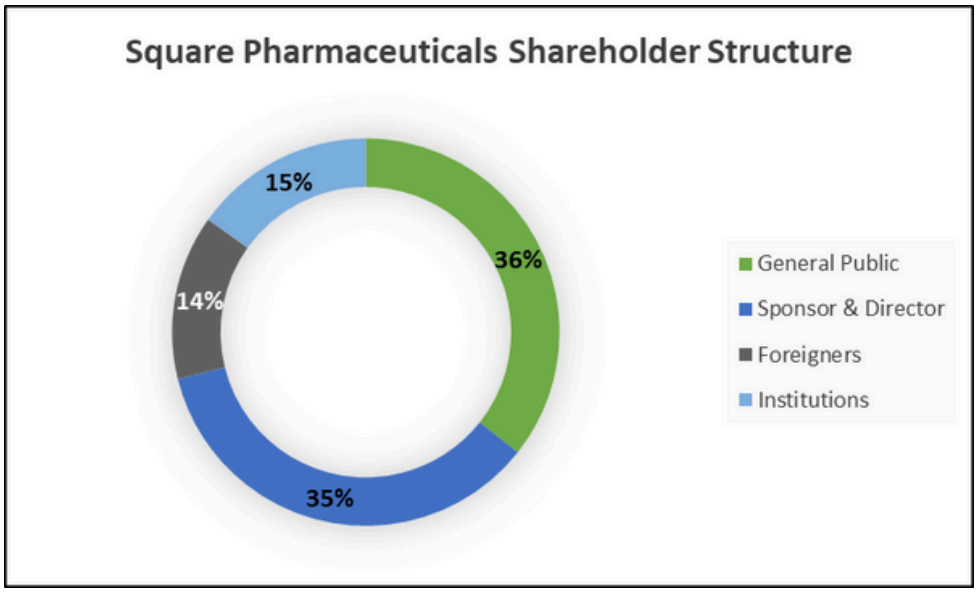
Looking ahead, growth will be driven by expanding demand for healthcare in Bangladesh, where rising incomes and chronic disease prevalence are fueling overall pharmaceutical industry's market growth. Square's unmatched distribution network and brand image ensure that it will capture the lion's share of this expansion. In addition, export opportunities are increasing, supported by the WTO's LDC patent waiver and Square's growing international footprint.

While returns on equity and return on asset are forecasted to normalize in the low double-digits as the company undertakes substantial capacity investment, this reflects a deliberate choice to scale production ahead of demand. Over the long term, these investments, combined with potential gains from local API sourcing, are expected to translate into volume growth, profit margin stabilization, and continued strong free cash flow.

With Square Pharmaceuticals' dominant market share, diversified product portfolio, expanding exports, and unmatched financial resilience, Square Pharmaceuticals offers a compelling investment case. It combines the defensive qualities of a debt-free, cash-rich leader with the growth profile of a company poised to benefit from rising healthcare demand, a favorable export environment, and a structural shift towards local API self-sufficiency.

CORPORATE GOVERNANCE

Shareholding Structure:



The Directors and Sponsors, who are mainly members of the founding Chowdhury family, collectively hold 35.46% of the shares of Square Pharmaceuticals PLC as of June 2024. This includes longstanding family members such as Samuel S Chowdhury (Chairman), Ratna Patra (Vice Chairman), Tapan Chowdhury (Managing Director), and Anjan Chowdhury (Director). No one individual or family entity holds a majority, but their combined influence ensures continued strategic control, as seen in directorial appointments and cross-holdings within Square Group companies. The rest of the company's shares are owned by Institutional Investors, Foreign Investors, and the General Public. Domestic institutions hold 15.13%, and the general public holds 35.65%. Foreign investors, including several international mutual funds and asset managers, own 13.76% of the shares. In recent years, notable international holdings have fluctuated based on market trends and global investor sentiment, though no single foreign entity owns more than 10% of the company's common shares. Square's Board of Directors is dominated by family members of the founder, with four from the Chowdhury family serving as directors. Most hold key roles in other Square Group companies, which enhances family leadership and strategic continuity but may limit independent decision-making. Square does maintain two independent directors on its board, as required by the BSEC Code, to safeguard transparency and protect minority interests, but the strong family and related-party presence can challenge strict board independence if not carefully managed. This balance of sponsor/family control, institutional and international investor presence, and regulatory safeguards is typical of leading public companies in Bangladesh's pharmaceutical sector.

Management Board

Management Board: Most of the founder's family members are explicitly part of the Board except the Executive Director who is in the management with representatives from various business units. The Board includes key family members such as Samuel S Chowdhury (Chairman), Ratna Patra (Vice Chairman), Tapan Chowdhury (Managing Director), and Anjan Chowdhury (Director). Independent directors also form part of the Board to ensure compliance with good governance practices, while the Executive Management Team includes representatives heading various business functions like finance, operations, marketing, and human resources.

Governance Risk

Governance Risk: Square Pharmaceuticals PLC faces no known ongoing legal cases or controversies surrounding its chairman or top management that could trigger regulatory scrutiny or raise governance concerns. The company maintains compliance with the Bangladesh Securities and Exchange Commission's Corporate Governance Code, implementing sound internal controls and adhering to ethical standards. Regular audits, certifications by independent auditors, and dedicated committees ensure transparency and mitigate governance risks. As a leading pharmaceutical company in Bangladesh, Square emphasizes ethical business practices and corporate social responsibility to uphold stakeholder confidence and regulatory adherence.

Recent Events

Recent Events: In the fiscal year 2023-24, Square Pharmaceuticals PLC declared a record cash dividend of 110% to its shareholders, reflecting strong financial performance and confidence in future growth. The company approved a Tk 500 crore investment plan aimed at balancing, modernization, rehabilitation, expansion, and acquisition of new capital machinery to enhance production capacity. Despite challenges faced during the July-August period, including labor unrest and significant flooding, which caused the first-ever revenue decline for a quarter, the company managed to post a 12.89% net profit growth for the first half of the fiscal year 2024-25, supported by increased income from investments and associate companies. Square Pharma also saw a 22.4% year-on-year export growth in FY24, expanding its global footprint with increased demand for its products. The company continues to face operating cost pressures due to currency depreciation and rising raw material prices but maintains resilience through strategic investments in research and development, introducing 39 new products in FY24. Government policies, such as increased duties and taxes on pharmaceutical products, and market factors, including labor unrest and flooding, have influenced operational performance but have not deterred the company's long-term strategies. The company also launched health awareness campaigns like the diabetes awareness cycling campaign in November 2024 and achieved PIC/S certification for Penicillin formulation, signaling commitment to innovation and quality. Ongoing plans include strengthening the supply chain and further expansion despite a challenging business environment in Bangladesh.

VALUATION

Equity Valuation Analysis

A thorough equity valuation analysis of Square Pharmaceuticals was conducted using two standard valuation models: the Free Cash Flow to Firm (FCFF) method, which utilized the two models of Long-Term Growth Rate method and P/E Multiple method, drawing on the average of the previous five years. The purpose of this analysis is to contrast the two models' intrinsic value of the company's share against the market price of BDT 221.7, as of September 6, 2025.

Free Cash Flow:

Year	Free Cash Flow
2025	41,479,855,168
2026	52,652,002,790
2027	59,836,506,282
2028	67,989,647,342
2029	77,241,726,866

The free cash flows forecasted for the period from 2025 to 2029 serve as the basis for the valuation calculations. The enterprise value followed by the intrinsic value per share were calculated using these numbers under the different valuation frameworks.

FCFF Long-Term Growth Rate Model:

	Long-Term Growth Rate
Terminal Value	1,749,532,515,903
PV	1,062,353,192,508
Enterprise Value	1,279,899,083,933
Equity Value	1,279,084,544,107
Intrinsic Value	**1,443 (Undervalued)**

The estimated enterprise value determined by the FCFF model was BDT 1,279,899,083,933. The Gordon Growth Model, used the long-term growth rate to calculate the terminal value. The estimated Weighted Average Cost of Capital (WACC) of Square Pharma was found to be 10.49%. This was used for the basis of discounting, and a long-term growth rate of 5.82% was estimated based on Bangladesh's estimated GDP growth. The enterprise value was found by summing up the discounted present values of the 5 years along with the terminal value. The result was then divided by the number of outstanding shares to find the intrinsic value of the stock, standing at BDT 1,443. Compared to the current market price, it is evident through this analysis that the stock is highly undervalued.

Average P/E Model:

In this second method, the terminal value was calculated using the average industry P/E multiple. To determine the terminal value, the average P/E of 18.13x was multiplied by the estimated net income for 2029 projected in the pro forma, then it was discounted and added to the present value of free cash flows in order to obtain the enterprise value.

	Average Industry P/E
Terminal Value	622,603,651,792
PV	378,058,121,891
Enterprise Value	2,107,836,500,878
Intrinsic Value	**2,378 (Undervalued)**

After dividing the result by the total number of outstanding shares, the intrinsic value of the stock was found to be BDT 2,378. This method also implies that the stock is highly undervalued in the market, and would be a good investment if the projections hold true.

Sensitivity Analysis:

A sensitivity analysis was conducted to assess how the intrinsic value of the stock would vary depending on the variations of some important assumptions, using both Gordon Growth Model as well as Industry P/E Model.

Sensitivity Using Gordon Model							
Growth Rate	WACC						
1443.15	9.74%	9.99%	10.24%	10.49%	10.74%	10.99%	11.24%
5.07%	1481.77	1404.17	1334.10	1270.50	1212.54	1159.48	1110.74
5.32%	1554.55	1468.96	1392.09	1322.67	1259.68	1202.25	1149.69
5.57%	1636.05	1541.08	1456.30	1380.15	1311.38	1248.97	1192.08
5.82%	1727.95	1621.85	1527.76	1443.77	1368.33	1300.21	1238.38
6.07%	1832.37	1712.92	1607.80	1514.59	1431.39	1356.65	1289.16
6.32%	1952.06	1816.39	1698.05	1593.91	1501.57	1419.14	1345.10
6.57%	2090.63	1935.00	1800.59	1683.34	1580.17	1488.69	1407.02

For the Gordon Growth Model, both the WACC and the long-term growth rate were varied by 0.25%. The base case used a WACC of 10.49% and growth rate of 5.82%, giving an intrinsic value of BDT 1,443 per share. The sensitivity range extends from BDT 1,111 at a WACC of 11.24% and growth rate of 5.07%, to BDT 2,091 at a WACC of 9.74% and growth rate of 6.57%. The model proved to be quite sensitive to minor fluctuations, indicating that valuation results are significantly affected by macroeconomic conditions and company growth assumptions.

For the Industry P/E Model, the WACC and average P/E multiple were both varied by 0.25%. The base case yielded a value of BDT 2.378. The sensitivity analysis conducted had intrinsic values ranging from BDT 2,217 at a WACC of 11.24% and P/E of 17.38x, to BDT 2,579 at a WACC of 9.74% and P/E of 19.13x. Although the effect of adjustments in inputs showed slightly less variation compared to the Gordon Model, this approach still demonstrated notable valuation shifts due to these changes.

Sensitivity Using Industry P/E							
P/E	WACC						
2378.21	9.74%	9.99%	10.24%	10.49%	10.74%	10.99%	11.24%
17.38	2,366.23	2,340.53	2,315.17	2,290.15	2,265.47	2,241.11	2,217.07
17.63	2,396.65	2,370.61	2,344.91	2,319.56	2,294.54	2,269.86	2,245.50
17.88	2,427.08	2,400.69	2,374.65	2,348.96	2,323.62	2,298.61	2,273.92
18.13	2,457.50	2,430.77	2,404.40	2,378.37	2,352.69	2,327.36	2,302.35
18.38	2,487.93	2,460.85	2,434.14	2,407.78	2,381.77	2,356.11	2,330.78
18.63	2,518.35	2,490.93	2,463.88	2,437.18	2,410.85	2,384.86	2,359.21
19.13	2,579.21	2,551.10	2,523.36	2,496.00	2,469.00	2,442.36	2,416.07

To conclude, both these equity valuation methods show that Square Pharma's stock is highly undervalued in the market, especially using the P/E Multiple Model, which yields a much higher intrinsic value compared to the Gordon Growth Model. The high value could be explained through several other key factors including market psychology, stock price momentum, and trend expectations. Investors should proceed with caution in considering these results, since the company's fundamental value may not be enough to support the present market price. Furthermore, as per the sensitivity analysis, investors should take into consideration a variety of possible outcomes rather than depending only on point estimates, as both models verify that Olympic's value is highly dependent on assumptions.

Investment Valuations Using Dividend Discount Model:

The Dividend Discount Model (DDM) has also been used to value Square Pharmaceuticals and see whether the company is undervalued or overvalued, based on the forecasted data from 2025 to 2029 from the pro forma. Additionally, sensitivity analyses have been presented based on different growth rates and required returns to provide a comprehensive valuation of the company's stock.

No of Outstanding Shares (16 May 2025)	**886,451,010**	taken from DSE			
Average Dividend Payout Ratio	**34.20%**	Model Interest Rate			
	From Pro Forma Income Statement:				
Year	**2025**	**2026**	**2027**	**2028**	**2029**
Profit After Tax	24,433,132,025	27,467,727,023	30,879,218,719	34,714,417,684	39,025,948,360
Dividends	8,288,644,443	9,318,094,083	10,475,401,368	11,776,446,218	13,239,080,839
Earning Per Share (EPS)	27.56	30.99	34.83	39.16	44.02
Dividend per Share	**9.35**	**10.51**	**11.82**	**13.28**	**14.93**

The company demonstrates a strong and consistent future financial performance, with a steady increase in Profit After Tax from BDT 24.43 billion in 2025 to an estimated BDT 39.03 billion in 2029. The dividend payouts follow a similar upward trajectory, starting at BDT 8.29 billion in 2025 and growing to BDT 13.24 billion by 2029. The dividend per share also rises progressively, from BDT 9.35 in 2024 to BDT 14.93 in 2029. This steady growth in both profits and dividends, coupled with a healthy dividend payout ratio of 34.20%, indicates the company's solid financial stability and its intention to provide attractive returns to investors. These trends suggest that the stock could be appealing to investors seeking a combination of growth and consistent dividend income.

As of September 6, 2025, the stock price is BDT 221.7, with a required return of 12.51%. The company's beta of 0.51 indicates that it is around 51% more or less volatile than the market. The risk free rate is 10.39% and long-term growth rate 5.82%, which suggests moderate growth expectations. With a market return of 14.52%, the stock is expected to deliver returns close to the market average.

Current Price (Sept 06 2025)	221.70
Required Return	12.51%
Beta	0.51
Risk Free Rate	10.39%
Long-Term Growth Rate	5.82%
Market Return	14.52%
P/E of SQPH (September, 05, 2025)	**10.47**

DDM (Gordon Growth)

Terminal Value Using Gordon Model	**236.14**				
Total CF Gordon	9.35	10.51	11.82	13.28	251.07
Present Value Gordon	8.31	8.30	8.30	8.29	139.25
Year	1	2	3	4	5
Intrinsic Value/Share	**172.45**				

To find the intrinsic value of the share and our perception of the company's real or actual value based on their dividend paying capacity, we have decided to calculate the intrinsic value based on the Gordon Growth model first. Here, the terminal value of BDT 236.14 was calculated, then based on that the sum of 5 years of data has been used to find the intrinsic value per share of BDT 172.45.

Based on this analysis, the intrinsic value per share using the Gordon Growth Model compared to the current share price of BDT 221.7 suggests that the stock is currently overvalued. Using this analysis, investors should be cautious and may possibly consider selling the stock, as the current price exceeds the fair value determined by this model, which also suggests that the stock may not offer a good return at its current price.

DDM (P/E)

Terminal Value Using Industry P/E	**798.32**			
Total CF P/E	9.35	10.51	11.82	813.25
Present Value P/E	7.39	7.38	7.37	451.04
Intrinsic Value/Share	**473.18**			

The Dividend Discount Model has also been used to calculate the P/E ratio of the stock price of the company from the projected 5 year data of pro forma information. The terminal value is calculated using the industry average P/E ratio using 6 peer companies.

Based on our analysis using the Industry P/E, the intrinsic value per share is calculated to be BDT 473.18, while the current market price is BDT 221.7. This suggests that the stock is undervalued in terms of its growth potential compared to the industry average. The stock's current P/E ratio of 8.30 is below the industry average of 18.13, which indicates that the stock is trading lower than its peers, making it appear attractive in terms of relative valuation. The required return based on the investor's expectations is 13.66%, which is reasonable given the market return of 13.92% and the risk-free rate of 10.23%. Moreover, with a beta of 0.93, the stock has a slightly lower risk compared to the overall market, which further supports the investment potential.

Considering the stock's relative undervaluation and solid growth prospects, investors may consider buying the stock if they are confident in the company's future performance and are comfortable with the associated risks. In summary, an investor should buy the stock, as it appears highly undervalued compared to the industry average, with a lower P/E ratio indicating potential for growth at a relatively lower price.

Sensitivity Analysis:

Sensitivity Analysis Using Gordon Growth Model

Sensitivity Gordon Growth Rate	**Required Return**					
172.45	11.5%	12.0%	12.5%	13.0%	13.5%	14.0%
4.50%	163.36	152.07	142.20	133.49	125.76	118.85
5.00%	172.86	160.12	149.08	139.43	130.93	123.37
5.50%	183.93	169.40	156.95	146.17	136.74	128.43
5.82%	192.03	176.12	162.60	150.97	140.86	131.99
6.00%	197.00	180.22	166.03	153.86	143.33	134.11
6.50%	212.69	193.01	176.61	162.74	150.85	140.56
7.00%	231.86	208.35	189.12	173.09	159.54	147.92
Value Ranges From	**118.85**					
Value Ranges To	**231.86**					

The sensitivity analysis using the Gordon Growth Model illustrates how the stock's value fluctuates with changes in the growth rate and required return. From our calculations, the value of the stock increases as the growth rate rises, indicating that higher expected growth leads to higher intrinsic stock values.

For instance, at a 4.5% growth rate and a required return of 11.5%, the stock value is BDT 163.36, while at a 7.0% growth rate with the same required return, the value jumps to BDT 231.86. In contrast, as the required return increases, the stock value decreases. For example, at a 4.5% growth rate, the stock value is BDT 163.36 at a 11.5% required return, but it decreases to BDT 118.85 at a 14.0% required return. The table also shows that with a higher required return (14.0%), the stock value can be as low as BDT 118.85, while with a lower required return (11.5%), it can reach as high as 231.86. The value ranges from BDT 118.85 to BDT 231.86 depending on various combinations of growth rate and required return, reflecting the model's sensitivity to these two key factors.

Sensitivity Analysis Using P/E Ratio Model

Sensitivity P/E						
P/E Ratio	Required Return					
473.18	11.5%	12.0%	12.5%	13.0%	13.5%	14.0%
16.13	443.4	433.8	424.4	415.3	406.4	397.8
17.13	468.9	458.7	448.8	439.2	429.8	420.6
18.13	494.4	483.7	473.2	463.1	453.1	443.5
19.13	520.0	508.7	497.7	486.9	476.5	466.3
20.13	545.5	533.6	522.1	510.8	499.9	489.2
21.13	571.0	558.6	546.5	534.7	523.2	512.0
Value Ranges From	397.76					
Value Ranges To	571.04					

The sensitivity analysis using the P/E ratio method shows how different P/E ratios and required returns affect the valuation of a stock. As the required return increases from 11.5% to 14.0%, the stock's value decreases across all P/E ratios. For instance, with a P/E ratio of 16.13, the stock value drops from BDT 443.4 at a 11.5% return to BDT 397.8 at a 14.0% return. Similarly, at a P/E ratio of 21.13, the stock value decreases from BDT 571.0 at a 11.5% return to BDT 512.0 at a 14.0% return.This pattern holds for all P/E ratios listed, demonstrating a general inverse relationship between the required return and the stock value. Additionally, as the P/E ratio increases, the stock value also increases, but the effect is moderated by the increase in the required return. The analysis also shows that the stock's value ranges from BDT 397.76 to BDT 571.04, depending on the P/E ratio and required return.

Relative Valuation:

Square Pharmaceuticals LTD (SQPH)	
Q1 2023- 2024 EPS	6.87
Q2 2023-2025 EPS	7.45
Q3 2023-2025 EPS	6.83
Annual2023-2024 Net Earnings	20,927,445,921
Annual2023-2024 EPS	23.61
Q4 2023-2024 EPS	5.9025
TTM EPS	27.0525
Forward EPS	28.2
Current Share Price	222.9
Trailing P/E Ratio	9.440914867
TTM P/E Ratio	8.239534239
Forward P/E Ratio	7.904255319

To evaluate Square Pharma's valuation, we used the market multiplier model using three different EPS values for the company. These include the most recent annual report from 2024, trailing 12 months EPS and forward-looking EPS. The forward-looking EPS per quarter was calculated from our pro forma projections for 2025, where we calculated the net income for 2025 and divided it by 12. We then added the projected Q4 data to the actual EPS of Q1 to Q3 of 2024 and calculated the forward-looking EPS. For trailing 12 months, we used the data from Q4 2023, Q1 to Q2 2024 and Q3 2025. This approach ensured a comprehensive valuation by incorporating both historical performance and forward looking projection.

The evaluation reveals a rise in Square's EPS from 23.61 in the latest audited statement (2024) to 27.05 for the trailing 12 months, suggesting an increase in profitability. This, in turn led to a fall in the P/E ratio from 9.44 in 2024 to 8.24 for the trailing 12 months, suggesting a lower valuation relative to earnings. The forward-looking EPS is projected at 28.2, resulting in a lower P/E ratio of 7.90, suggesting that the stock is undervalued relative to projected earnings and indicating potential future profitability.

Peer Comparison

Company (Ticker)	P/E (Investing.com)	P/E	Average (P/E)	P/B	Average (P/B)	ROA	Average (ROA)	ROE	Average (ROE)
SQPH	8.3	8.3	14.52	1.50	1.95	17.40	7.98	18.30	12.72
Reneta	19.7	22.5	14.52	1.60	1.95	4.90	7.98	8.40	12.72
ACMELAB	7.1	7.44	14.52	0.70	1.95	4.30	7.98	9.50	12.72
BXPHARMA	9	8.43	14.52	1.10	1.95	8.90	7.98	13.40	12.72
IBNSINA	15.1	15.25	14.52	2.50	1.95	9.40	7.98	17.80	12.72
BEACONPHARMA	49.6	25.20	14.52	4.30	1.95	3.00	7.98	8.90	12.72
			14.52		1.95				
Industry	18.13	14.52		1.95		7.98		12.72	

For a more comprehensive evaluation of Square's valuation, we compared its performance with that of its peers in the market. We selected 5 peer companies, similar to Square in market position and product offering. The comparison reveals that Square has a much lower P/E ratio than the sector, with only one competitor (ACMELAB) having a lower P/E ratio. This indicates that it is undervalued relative to the industry. Specifically, Square's P/E is significantly lower than that of its competitors. To understand the difference, we looked into several key metrics that influence the valuation, providing deeper insights into the company's relative performance and market positioning.

The table summarizes the key profitability and valuation metrics that determine the performance of the selected companies. The P/B ratio of Square is less than the industry average, which means investors are paying less for each unit of their stocks compared to peers. This indicates that the stock may be undervalued or lower expected returns on equity in the future. The return on assets (ROA) is more than double the industry average for Square Pharma, which means that they are highly efficient in utilizing assets to generate profits. This strong operational efficiency makes its low valuation (P/E, P/B) even more striking, suggesting undervaluation. Additionally, the return on equity (ROE) is higher than the industry average and most peers, implying that Square is delivering better returns to shareholders compared to most companies in the sector.

In conclusion, Square Pharmaceuticals (SQPH) demonstrates stronger profitability (high ROA & ROE) but trades at lower valuation multiples (P/E, P/B), suggesting undervaluation compared to the industry and peers.

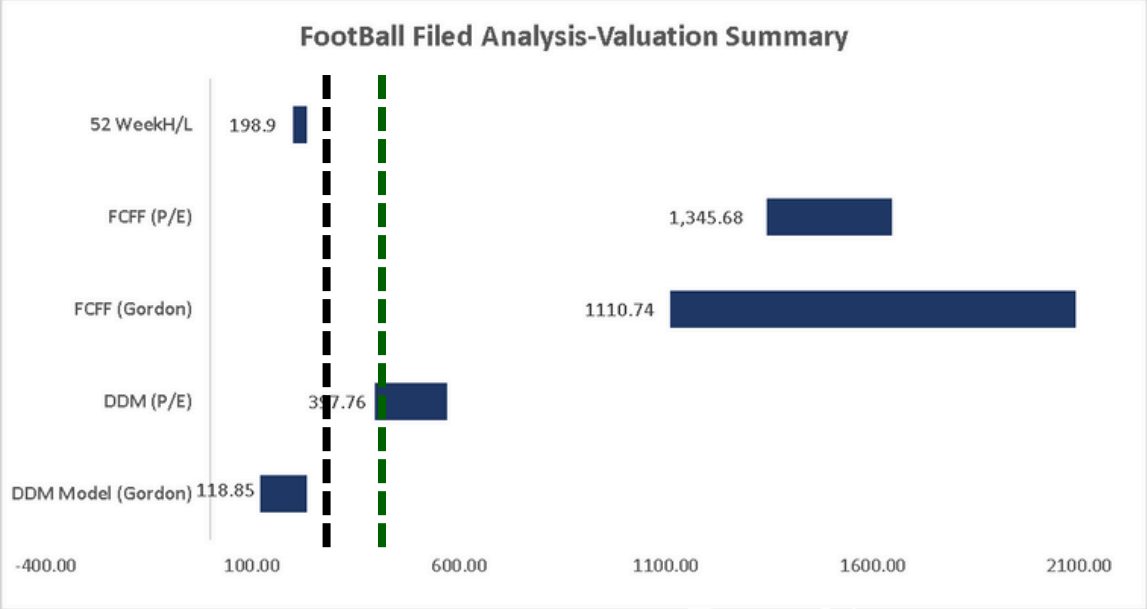
EV/EVITDA

EV/EBITDA Calculation						
Market Cap of Equity	196,792,124,220	196792124220	196792124220	196792124220	196792124220	196792124220
Total Debt	6,715,576,228	6,737,680,461	7,333,456,870	8,022,514,908	8,813,780,990	9,717,656,837
Cash and cash equivalent	52,013,459,742	56,100,038,102	60,114,686,676	63,749,620,872	66,722,537,797	68,657,431,475
Ev	151,494,240,706	147,429,766,579	144,010,894,413	141,065,018,256	138,883,367,413	137,852,349,582
EBITDA	19,231,282,291	26,376,796,115	29,652,794,192	33,335,671,231	37,475,961,598	42,130,476,028
Ev/EBITDA	7.88	5.59	4.86	4.23	3.71	3.27

Square Pharma's EV/EBITDA falls from 7.88x to 3.27x, driven by strong EBITDA growth and rising cash. This signals the stock is getting cheaper and may have upside potential if the market re-rates.

Valuation Approach and Weight Allocation

To integrate the intrinsic values calculated from each of the valuation models, we have used a weighted average approach. Since the results from the different models were not consistent, we assigned different weights based on the relevance and applicability of each model to Square Pharmaceuticals Limited.



A football field chart was used to visually represent the intrinsic values across the ranges derived from sensitivity analyses. Notably, the FCFF using both P/E and Gordon Growth models presented a much higher intrinsic value due to the very low debt of the company, so we assigned the least weight (5%) to these in order to avoid inflated valuation.

MODEL	WEIGH	INTRINSIC VALUE	WEIGHTED VALUE
DDM (GORDON)	30%	172.45	51.73
DDM (P/E)	20%	473.18	94.64
FCFF (GORDON)	5%	1443.15	72.16
FCFF (P/E)	5%	2378.21	118.91
RELATIVE	40%	149.41	59.76
	100%	WEIGHTED AVG INTRINSIC	397.20

The Relative Valuation model has the highest weight because, while it suggests that Square Pharma is undervalued, its assumptions align most with the fundamental elements of the company.

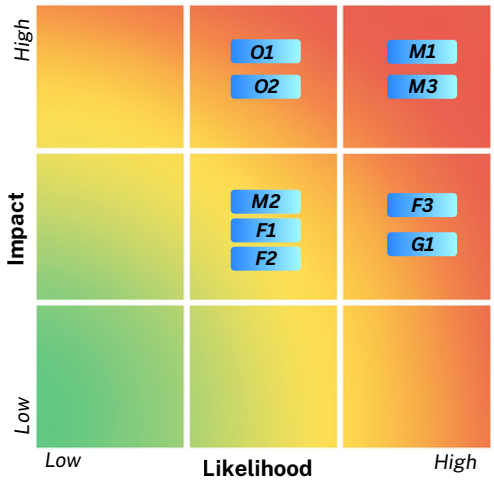
The Dividend Discount model was assigned a weight of 30% for Gordon Growth and 20% for P/E Multiple as it gives us intrinsic values that are closest to the market price, although still there are significant differences.

Based on the weighted values from these models, the final target value for Square Pharmaceuticals Limited is **BDT 397.20**. This target represents a comprehensive view of the company's intrinsic value, taking into account the different factors influencing its financial performance and future growth potential.

Buy Recommendation

Based on its strong market position, solid financial fundamentals, and growth prospects supported by industry trends, Square Pharmaceuticals Limited presents a compelling buy opportunity. The stock is undervalued at its current market price of BDT 221.70, with a target price of BDT 397.20 offering a 79.16% upside potential. Given the company's dominance in its sector, its strategic focus on diversification and expansion, and its ability to leverage favorable industry dynamics, investors can expect substantial long-term growth.

INVESTMENT RISK



Risk Materiality Matrix

Market Risk

Regulatory Change After LDC Graduation (M1)

Impact: High Likelihood: High

Bangladesh is nearing the graduation of least developed country (LDC) and the move is likely to change the regulatory framework as well as the trade environment in the pharmaceutical industry. Square Pharmaceuticals in the past has been quite flexible in terms of patent regimes, favourable trade access, and lenient licensing processes; the privileges could reduce after the graduation of the country. This means that these changes can increase the cost of launching new drugs, reduce competitive benefits in export and domestic markets and could slow down the launch of products, especially those of patented or high-value drugs.

High Domestic Competition (M2)

Impact: Medium Likelihood: Medium

The pharmaceutical market in Bangladesh is highly competitive with many companies competing to capture generic, branded generic and niche therapeutic markets. Although Square has a significant market share (roughly 17%), its growth in the domestic market depends on how it can retain its brand loyalty, price sensitivity, and reduce the aggressive pricing and marketing strategies of the competitors. Therefore, a shifts of domestic demand, any changes in regulations on the price of drugs, or aggressive actions of competitors might put the margins or increase in volume under strain of Square.

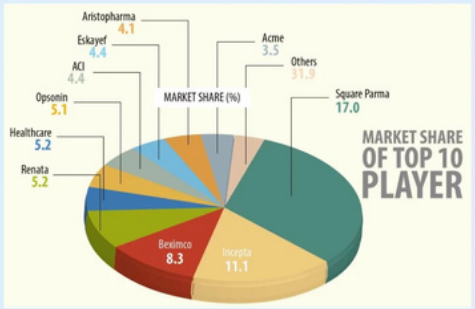


Fig: Market Share of Pharma Companies

Source: Dhaka Tribune

Political Uncertainty (M3)

Impact: High Likelihood: High

Bangladesh is currently in the care of an interim government after a period of political change thus increasing uncertainty to businesses and investors. In the case of Square Pharmaceuticals, this instability might cripple logistical processes, delay expansion programs and snuff out domestic demand. More importantly, the turbulent political situation can discourage foreign investors to invest new funds, which can in turn affect valuations multiples and liquidity of listed shares.

Operational Risk

API and raw material dependency (O1)

Impact: High Likelihood: Medium

Square still continues to import a large percentage of the active pharmaceutical ingredients and other raw materials which form the basic ingredients of its products. Disruption of global supply-chains, rising freight cost, trade bans and currency instability in turn present huge challenges to the cost and the sustainability of production. Even though Square is currently working on building local capacity of its API in the Gazaria API Industrial Park, that capacity should be fully functional and expanded to such a size that it makes a difference in the level of its dependency.

Capacity expansion and execution risk (O2)

Impact: High Likelihood: Medium

Square has been engaged in significant initiatives that are meant to modernise and increase its manufacturing base. However, these projects are expected to involve risks of delays, cost overruns, under-utilisation in case the projected demand does not materialise or other reasons which are related to the technology integration. Such capital costs may inflate, returns on investment may diminish or operational cash flows may put too much strain on the issue of any such execution.

Financial Risk

Foreign Exchange Exposure (F1)

Impact: Medium Likelihood: Medium

Since a significant amount of inputs imported by Square and the export revenues can be received in different currencies, this exposes Square to depreciation of the BDT. Such a sudden change in the value of the currency might significantly add to the costs and reduce the margins, in case Square cannot either pass these costs to its customers or is under an obligation of a fixed contract.



Fig: USD to BDT Rate in 2025

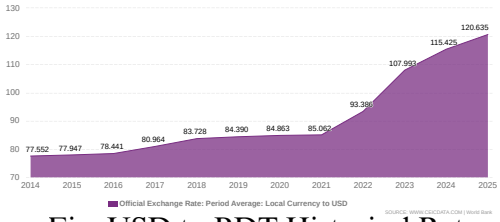


Fig: USD to BDT Historical Rate

Source: Trading View, CEIC

Capex, Balance-Sheet & Working-Capital Pressure (F2)

Impact: Medium Likelihood: Medium

The heavy investments that Square is undertaking in modernizing plants, constructing API facilities, and capacity development are capital-heavy, and can limit cash flows in the short term. In case the implementation of the project is slowed down or the surge in revenue growth is not realized according to the plan, the cycles of working-capital might be lengthened, the leverage might rise and the returns on the invested capital could be reduced, which would strain the returns on the shareholders.

Margin Pressure from Input and Energy Costs (F3)

Impact: Medium Likelihood: High

The production process of pharmaceutical products is energy consuming, with significant use of high quality raw materials, and needs experienced labor. So the stable cost of raw materials, labour, and utilities like electricity, gas, and water is very significant for companies like Square. Unfortunately, in the recent past the price of the inputs varied a lot. The rise in costs of these inputs due to inflation and disruption to supply of energy or rising fuel prices directly threaten the cost base of Square. Even in case of growing revenues, margins can decline, especially in low-margin generics.

Governance & Ethical Risk

Margin Pressure from Input and Energy Costs (G1)

Impact: Medium Likelihood: High

Since the classification of a Post-Least Developed Country (Post-LDC) was conducted, moral questioning of the pharmaceutical prices, the application of intellectual property rights, and the availability of necessary medicines is likely to exert greater pressure on the policymakers, civil society, and press. Square faces reputational risk in the event that the prices of patented drugs are set too high or too high to be accessible, particularly to low-income patients, and this fails to generate regulatory backlash or poor publicity.

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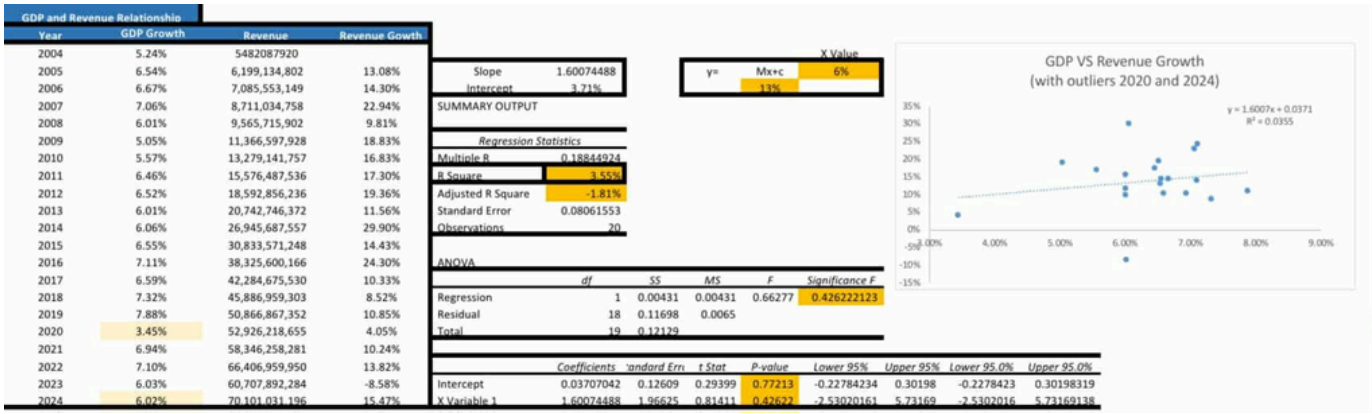
Appendix

Whole period	Whole period Using Market Cap		Whole period Using DSEX or DGEN	g DSEX or DGEN without outl	Using index last 5 years	Using index last 10 years	Using mkt cap last 5 years	Using mkt cap last 10 years
R_m Market Return	18.43%		5.13%	-1.61%	3.22%	0.70%	10.62%	9.41%
Average Rm Market Return	14.52%							

Dividends Paid by SQPH					
Year	2020	2021	2022	2023	2024
Dividend Paid	3,313,835,557	3,967,923,573	5,301,732,420	8,802,918,480	9,237,050,131
No. of shares outstanding	886,451,010	886,451,010	886,451,010	886,451,010	886,451,010
Dividend Per Share	3.74	4.48	5.98	9.93	10.42
Dividend Growth Rate		20%	34%	66%	5%
Average dividend growth rate	31%				
Source: Square Pharmaceuticals Annual Report					

Cost of Equity				
Using CAPM	Rf+Beta(Rm-Rf)		Rf=	10.39%
	12.51%		Rm=	14.52%
			Beta=	0.5139
			Tax Rate	22.50%
Using Tax adjusted CAPM	Rf+Beta(Rm-Rf)*(1-T)			
	12.04%			
Using Gordon Growth Model	(D1/Price)+ g	D1=D0*(1+g)	13.66	
37.2%		Current Share Price	224.9	

Appendix : Projections



Appendix

Regression Analysis

Year	Revenue	Year-on-year Growth	
2014	23,268,413,217		
2015	26,684,573,116	14.682%	=(B6/B5)-1
2016	33,073,760,572	23.943%	=(B7/B6)-1
2017	36,543,140,106	10.490%	=(B8/B7)-1
2018	39,653,831,638	8.512%	=(B9/B8)-1
2019	44,033,634,269	11.045%	=(B10/B9)-1
2020	45,876,448,841	4.185%	=(B11/B10)-1
2021	50,703,028,902	10.521%	=(B12/B11)-1
2022	66,406,959,950	30.972%	=(B13/B12)-1
2023	60,707,892,284	-8.582%	=(B14/B13)-1
2024	70,101,031,196	15.473%	=(B15/B14)-1
CAGR	11.66%	=(B15/B5)^(1/10)-1	

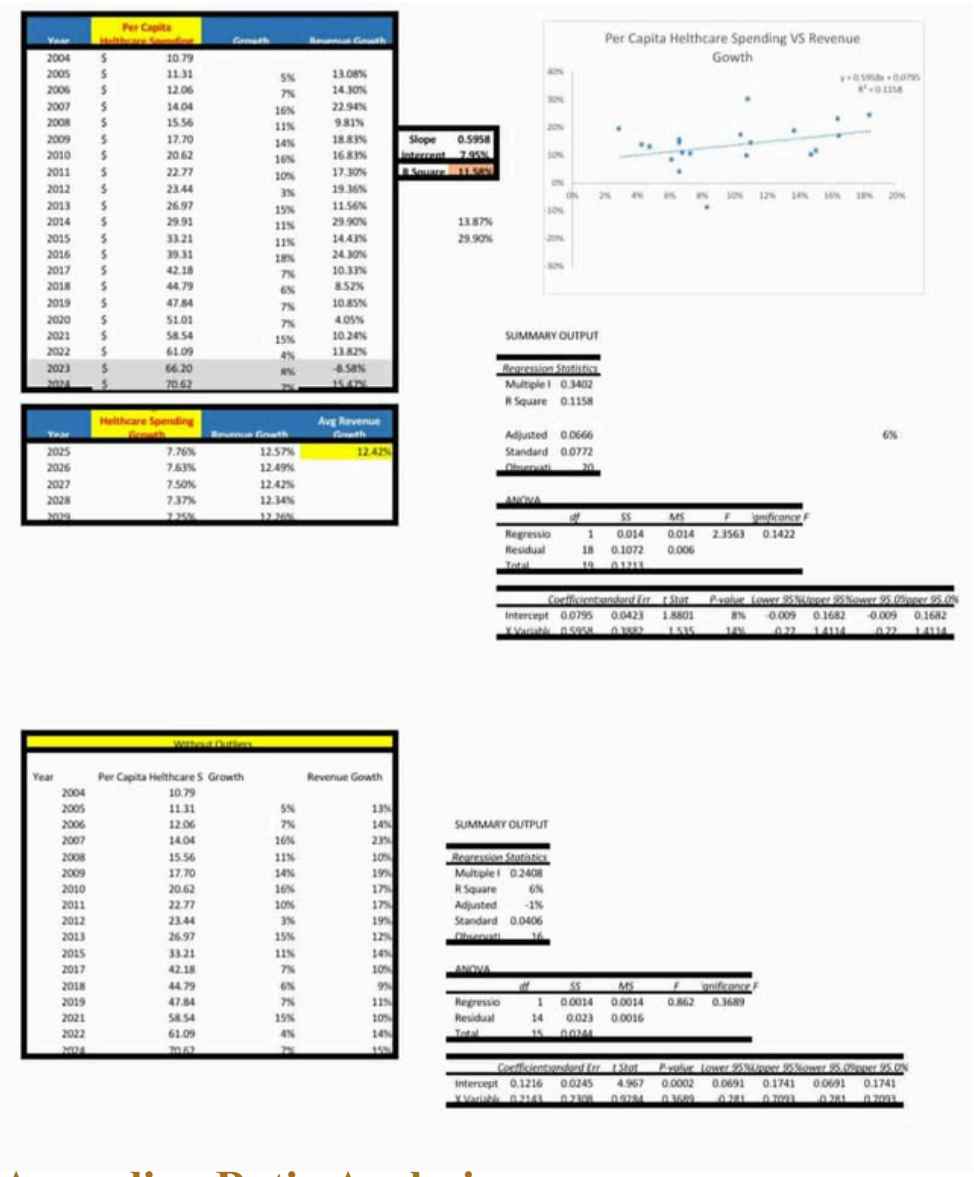
Regression Analysis

Slope	4,589,075,995
Slope/2024	6.55%
Intercept	-9.22016E+12
R squared	95.77%

Forecast Based on Regression

Year	Forecasted Revenue (in amount)	YoY Growth		
2025	72,721,066,344			
2026	77,310,142,340	6.31%	CAGR	7.10%
2027	81,899,218,335	5.94%	Mean	5.64%
2028	86,488,294,331	5.60%		
2029	91,077,370,326	5.31%		
2030	95,666,446,322	5.04%		

Appendix



Appendix : Ratio Analysis

	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F	2028F	2029F
Current Ratio	12.93	14.52	17.67	18.74	21.85	12.48	14.49	14.00	13.44	12.80	12.06

	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F	2028F	2029F
Gross Profit Margin	47.74%	49.61%	49.56%	49.89%	47.99%	45.60%	49.70%	49.70%	49.70%	49.70%	49.70%
Net Profit Margin	28%	28.87%	29.98%	29.42%	28.19%	26.07%	30.75%	30.75%	30.75%	30.75%	30.75%

	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F	2028F	2029F
Return on Equity	19.66%	19.82%	19.38%	18.74%	17.02%	15.11%	11.24%	11.22%	11.20%	11.18%	11.17%
Return on Assets	17.84%	18.59%	18.32%	17.83%	16.28%	14.39%	10.73%	10.73%	10.72%	10.72%	10.71%

Earnings Per Share (EPS)	-		15.06	17.99	20.51	21.41	23.61				

	Square	Renata	Beximco	Beacon	Orion
Market Capitalization (millior	186953	88328	52686	35528	16169
Market Share (%)	17.32%	5.12%	9.57%	1.45%	0.68%

	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F	2028F	2029F
Debt to Asset	0.00%	0.11%	1.54%	1.12%	0.61%	0.58%	0.55%	0.49%	0.43%	0.39%	0.34%
Debt to Equity	7%	6%	5%	5%	4%	6%	4.75%	4.59%	4.46%	4.35%	4.26%

Appendix

Shareholding Stracture

Year	Sponsors & Directors	General Public	Institutions	Foreigners
2021	34.57%	36.71%	13.45%	15.27%
2022	34.67%	36.57%	14.85%	13.91%
2023	34.67%	36.57%	14.85%	13.91%
2024	35.46%	35.65%	15.13%	13.76%

BoD of Square Pharma

Name	Position
Samuel S. Chowdhury	Chairman
Ratna Patra	Vice Chairman
Tapan Chowdhury	Managing Director
Anjan Chowdhury	Director
Kazi Iqbal Harun	Director
Muhammadul Haque	Independent Director
Abul Kalam Azad	Independent Director

Contribution Table

Name	ID	Contribution
Khandokar Md Rakibul Hasan Chondon		Revenue forecast, Assumptions, Pro Forma, Investment Risk, Market Return Calculation
Khondokar Shah Poran		Top Down Analysis, DDM, EV/EVITDA, Macro Economic and Industry Analysis. Relative Valuation
Md Shafin Ahmed		Beta calculation, FCFF, Growth Drivers, Financial analysis, Investment thesis
Ariana Zaima		WACC Calculation, FCFF, DDM Report, Relative Valuation Report, Weighted Average Intrinsic Value, Bottom Up Analysis
Irfanur Rahman		Corporate Governance, Shareholding Structure, Management Board, Governance Risk, Recent Events, Growth Drivers
Riyana Mohiuddin		Cost of Equity, Projection (Regression), SWOT Analysis, ESG & SDG, Competitve Environment and Porter's Five Forces